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Call: Jun 2023

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Call: Aug 2023

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Call: Nov 2023

November 15, 2023

The Manager,
Dept. of Corporate Services
B S E Limited
25th Floor, P. J. Towers, Dalal Street,
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q2FY24 Earning Call: Transcript.
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on November 9, 2023 to discuss Operational and Financial performance of the Company for Q2FY24. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan
Company Secretary

Encls: A/a

Fiem Industries Limited
Q2FY24 Earnings Conference Call
November 09, 2023

COMPANY MANAGEMENT

- MR. J.K. JAIN – CMD
- MR. RAHUL JAIN – JOINT MANAGING DIRECTOR
- MR. RAJESH SHARMA – JOINT MANAGING DIRECTOR
- MR. O.P. GUPTA – CHIEF FINANCIAL OFFICER
- MR. ARVIND CHAUHAN -COMPANY SECRETARY
- OTHER FINANCE TEAM MEMBERS

MODERATOR

- MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Sahil Sanghvi: Good afternoon, everyone. On behalf of Monarch Networth Capital, I welcome you all to the Q2 FY24 conference call of Fiem Industries Limited. Participants, please note that this conference call may contain forward-looking statements about the company, which are based on belief, opinions and expectations of the company as on date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. We will start the call with the initial comments about the results and the future outlook of the company, and then we will open the floor for questions and answers.
So, without much delay, I will hand over the call to Mr. JK Jain, CMD of the company. Over to you, sir.
JK Jain: Thank you. Good afternoon to everyone and welcome to the Q2 FY24 Earnings Call of Fiem Industries. Joining me today on call are, Rahul Jain, Joint Managing Director, Rajesh Sharma, Joint Managing Director, Arvind Chauhan, Company Secretary, O.P. Gupta, CFO and other members of the finance team. The investor presentation and the results have been published on both, the company website and the stock exchange. I trust that all of you must have reviewed the same.
I am delighted to report that Fiem Industries has delivered a strong operational performance for the quarter with a net sale reaching to INR506 crores in the Q2 FY24. Our EBITDA stands at INR66.4 crores with a margin of 13.1%. Our strong operational focus has meant that our profit remains robust with a 15% increase to INR42 crores on a sequential basis.
We continue to benefit from our diversified product and customer mix. For the Q2 of the current financial year, two-wheeler industry have registered production volume of 5.6 million units. We expect a strong second half driven by the festive season and pick-up in rural demand.
During the quarter, EV volumes were 1,80,000 units, which is an increase of 23% on a year-on-year basis. Fiem is strongly positioned with the EV market and continues to outpace the market trend driven by partnerships with leaders like Ola and TVS. We continue to move ahead in working jointly with our OE customers.
Some of the models like TVS Raider, Suzuki Access, and Honda Activa continue to do very well. We updated you last quarter about Harley Davidson X440, which was launched by Hero Motor Corp. This model has found good traction in the market and our volumes are ramping up.
Similarly, on new products, there is a strong pipeline. We are working closely with Yamaha on their recent launch Aerox 155. This is a premium scooter for both Indian and export markets.
With TVS, we have started supplying for Jupiter 125 scooter model and also for a new three-wheeler model, King Duramax. In the EV segment, we have added several new customers, notable being Raptee, Polaris, and Numerus. Overall, we are very well positioned and we get into the second half of the year and remain optimistic about future growth.
I now hand over to Mr. O.P. Gupta and the finance team to update on operational performance.
Thank you.

O.P. Gupta: Thank you, sir. Good afternoon to everyone. First, I will present the quarter 2 numbers for FY24.
The company has registered sales of INR505.85 crores in Q2 of current financial year against INR470.71 crores in Q1, which is an increase of 7.47%. The EBITDA stands at INR66.36 crores, translating into an EBITDA margin of 13.12% as compared to an EBITDA of INR61.66 crores, that is 13.1% in Q1 of current financial year. The PAT for Q2 is INR41.91 crores as compared to INR36.44 crores in Q1 of current financial year, which is higher by 15%.
Now, I will present the H1 numbers for FY24. The company has registered sales of INR976.56 crores in the first half of current financial year as against INR963.3 crores in the cor

responding
period of previous year, which is an increase of 1.38%. The EBITDA has remained flat at INR128 crores. PAT for first half of current financial year is INR78.35 crores as against INR69.56 crores in the corresponding period of previous year, which is higher by 12.64%.
During Q2, the company has made a capex of INR33 crores and total capex in the first half of current financial year is of INR51 crores.
With this, I end the financial brief and now the floor is open for questions and answers.
Sahil Sanghvi: Thank you, sir, for the opening remarks. Whoever wishes to ask a question can raise hands and

I'll call their name and I'll ask them to unmute themselves. I think we already have some participants who are raising their hands. Starting with Garvit Goyal, you may unmute yourself and ask your question.
Garvit Goyal: Starting with on the Gogoro partnership, supply was expected from August 23 to Gogoro. So, two questions on this. One is, what was the revenue contribution from Gogoro in this quarter? And what is the expected number in H2? Along with in August, Gogoro announced a partnership with Swiggy. And last month, Delhi government also announced a requirement to replace the fleet of delivery partners and e-commerce players with EVs. So, what kind of upside in revenues do you see on account of these developments for Fiem in the near to medium term?
Management: Yes, about the Gogoro, first of all, I just like to brief because it is a newly started and they are ramping up their model. So they are ramping up right now. They have produced few numbers of vehicles and our supplies are on with that. Might be the next quarter, we can see some sales percentage and same volume. This is what we expect as of now.
Garvit Goyal: And what is your expectation on the new announcements like Gogoro made a partnership with Swiggy and Delhi government also announced a requirement to replace the fleets with EVs?
Management: As of now, no such announcement is being heard by us.
Garvit Goyal: Okay. During second quarter, Indian two-wheeler registrations almost grow by 12% y-on-y and EV sales also grow by more than 20% as you mentioned in your opening commentary. So, can you help me to understand despite uptake in our underlying growth drivers, why did our top line de-grew by 3%? Is it due to any intense competition we witnessed during the quarter or what is the exact reason for it?
Management: So, actually, if you look at the industry data, you should for our purposes, be focused on production data, because we are linked closely with the production volumes. Now, if you look

at the production volume of the industry, if you take the full H1, for example, the industry has been flat. So, we've actually in that way, we've done better than the industry. And if you look at sequentially, we've grown. But I think overall, what you are talking about is probably the final end retail sales of some of the OE customers.
So, on the production volume, the industry has been flat. But as we mentioned in our opening remarks, there has been a delayed festival this time. So, there should be good uptake in the second half and you will see that growth coming.
Garvit Goyal: Understood. And so, can you share some clarity on the capex being incurred and what kind of capacity expansions are we looking at with that capex?
Management: So, if you look at first half, we have incurred already INR52 crores of capex. This includes some of our normal capex, some of the capex because of some other events. Overall, this year, we should have on our balance sheet approximately INR100 crores of capex. So, that would position us well for future growth.
Garvit Goyal: Understood. And we are planning to increase our PV revenues. But looking at one of our peers, the margins seem a little bit lower on that side. So, can you elucidate on what is the margin difference amon

g two-wheeler and PV segment that we cater to?
Management: So, PV, we actually announced that PV is a focus area which we will be going forward making some strides in that segment. But right now, that business is almost minimal. So, there is no way to compare. As we move into it, we should be able to guide you better with the margins.
Garvit Goyal: Okay. And lastly, since first half is over and with festive season, as you mentioned, coming in the second half, so do you think we will be able to grow 20% in a second as compared to first half based on the demand you are witnessing from your channels? So, going by that, can we achieve a ballpark sale number of INR2,200 crores in FY '24?
Management: I think, you know, we hesitate to give specific numbers. We are overall optimistic, as we mentioned, but, you know, it would be tough to give a number because there are many variables in the overall industry. But overall, I would say that the overall trend remains very optimistic.
There could be a delay in a quarter moving upwards.
Garvit Goyal: So, we can assume H2 will be better than H1 at least?
Management: Yes, you have a question?
Garvit Goyal: Yes, I was asking, that means H2 should be better than H1 at least, right?
Management: Yes. Okay. Okay.
Sahil Sanghvi: Thank you. Yes. Okay. Moksha Shah, you can go ahead. You can unmute yourself and go ahead.
Moksha Shah: So, my question was, with the domestic two-wheeler demand picking up, how do we see this turning out for our business?

Management: So, we, I mean, we've been kind of guiding over the last several quarters that we believe that the demand should pick up and there are signs of that recovery happening. So, clearly, you know, we've always outpaced the industry. So, that will be very beneficial for us. We should, we should sort of move forward with our growth plan. So, overall, domestic industry will significantly, you know, over the next 12 to 18 months, we are on a very positive trend.
Moksha Shah: Okay. And if you could help me guide for the revenues for FY24 and H1 FY25. Any guidance on the revenues?
Management: I think, you know, what we, what we've kind of mentioned in the earlier question as well, that it is, we are not giving any specific data points on a specific number, but we generally outperform the industry and we are optimistic of doing that.
Moksha Shah: Are we expecting to keep the same numbers, increase any growth rate number that you'd…
Management: You will see much better growth in H2 is all I can say.
Sahil Sanghvi: Thank you. Mr. Viraj Kacharia, you may please unmute yourself and go ahead.
Viraj Kacharia: Yes. Hi, thanks for the opportunity and congratulations for good numbers in such a challenging environment. Just three, four questions. First question, you know, if you look at our sales mix, right, in lighting, especially, the share of LED has seen a good drop compared to what it used to be for last few quarters. So, LED revenue share used to be 35% and then 40% last quarter. It's now come down to 33%. So if you can just give some perspective, what really happened? And second question just was related to the revenue part again, that if you look at the others customers, and others products. I think last few quarters we have seen a moderation in revenue share both from other products and other customers as well. So if you can just also give some perspective, what is happening there?
Management: So first question on the LED. The LED for the Q2 has remained 47% and for the Q1 it was 53%. So it was not in the range of 30% what you said. And we have to see the overall….
Viraj Kacharia: If I look at the presentation which we shared for Q2…
Management: Actually, in the presentation, what you see is the automotive LED and the automotive non-LED as a separate group. So we are what we are showing you, you have to see what is the in total lightin

g. What is the LED versus the conventional. So what we are always saying that within the automotive lighting 47% is the LED. So I think this is clear.
Viraj Kacharia: So again, if I look at the within auto lighting…
Management: Let me clarify if there is any confusion in the data points you are referring we can clarify. But as of now, what I'm saying is that in the last quarter, the LED share was 53%. And now this is 47%. And we have to see the yearly basis because here and there in one quarter don't make a difference. Overall, the LED trend is quite increasing. That is one thing.

And the second thing I think what you are referring is the other products. So what is the other balance which are less than 10%? So these remain changing because our major three categories are automotive lighting, rearview mirrors and the plastic parts. So rest others are, it keeps changing based on the requirement.
Viraj Kacharia: Is it specific to one or two customers in others?
Management: No, it depends actually. It's sometime depends on the customer requirement. So it goes into the others because these are other than the three main product line.
Viraj Kacharia: Okay. And other customers?
Management: Other customers are you can see top 5. We always give the percentage, but other customers, even the EV segment there, we are adding in the other customers. So definitely there will be a fluctuation in the share of the other customers. We are adding with a fast pace the EV segment customers.
Viraj Kacharia: So my question was that, if you're adding new customers in EV in others, if you look at last four quarters or five quarters, we used to do around INR55 crores to INR60 crores of quarterly revenues in from others. And that has kind of dropped to INR44 crores in September quarter. So I was just trying to understand, what is causing this drop in the current quarter?
Management: So that's -- your question is correct. But the reason is if there is any fluctuation within that metrics of the other customers that numbers fluctuate. That is the only reason.
Viraj Kacharia: Yes, I'm just trying to understand what is causing the fluctuation because we are adding new customers. We are winning new orders, sir.
Management: See, depending upon the customer requirement, if suppose there is a high demand in some specific quarter, then and in the next quarter that customers, keep some low volume. It depends on that.
Viraj Kacharia: Okay. Just two more questions. One is on the capex part….

Management: Sorry, but just to kind of make sure that you get the question there. There is no loss of market share in any of this. This is just 1Q. I mean, this quarter versus another quarter, one particular customer having some variation. So there is no the reason is not any fundamental market share change.
Viraj Kacharia: And what will be the share from EV customers in this other EV or overall revenue from EV models?
Management: EV now we should be around 6% of our total revenue.
Viraj Kacharia: Okay. Now on the capex part, you said INR100 crores is the what we are looking at in terms of spending in the current year. And if I understand it right, that earlier, our communication was that we have enough facility available at existing facilities and land bank to cater to any new orders. So if the market were to shift from conventional to LED on the current asset base itself,

we could do upwards of INR2,500 crores to INR3,000 crores kind of a revenue base. So this additional capex of say, which we're doing total INR100 crores. What is it towards? If you can give some perspective?
Management: Yes, great question. Let us clarify the earlier guidance of our capacity utilization and our plan being sort of up to it for a much higher sales that remains. The enhanced capex that has happened, which you see right now

is because of that fire incident that we reported last quarter to you. So,
because of that, there is a replacement capex for some of those sort of plant. I mean, some of these machinery and that would be fully covered in the fire policy. So that will not be really a cash out for the company, but you will see gross fixed asset going up because of that.
So our earlier guidance of a real capex from a cash flow perspective remains the same, which is that INR50 crores to INR75 crores over the next two year to three year period. So anything else that happens is just for a replenishment. And again, I reiterate, there is no cash outflow for the company. We don't expect any cash outflow.
Viraj Kacharia: So this money will be reimbursed from the insurance company?
Management: Absolutely. So we've raised a claim on the insurance that is part of our notes to the account. And as and when that process is completed, we will be able to give you full figures around it. But all of this will be fully replenishes our belief from the insurance company. So the INR100 crores capex from your cash flow perspective is not a INR100 crores capex.
Viraj Kacharia: Okay, last question to Mr. Jain specifically. So if you look at the current management structure before the recent announcement, the business has been led and driven by you as a CMD. And in the last six months, eight months, we also hired a senior person in the role of a CEO and Whole-Time Director. And just we kind of made a recent announcement about two new Joint MDs being added in the management structure. So just trying to understand the thought process behind this structure. And what role and responsibility would each of these senior personnel would be looking after?
JK Jain: Basically, recently announced two new Joint Managing Directors are basically upgradation from the Director to Joint Managing Director. So they are not new, they are the existing one, but they are doing better. So we are upgrading them. They are taking more responsibilities.
Secondly, the CEO we have appointed that is for four-wheelers focus, but that is going on and it will give results after some time. So that is what, Yes, over a period of time, it takes time.
Viraj Kacharia: Okay, understood. Okay, fine. That's all for my side. Wish you good luck, sir.
Management: Thank you.
Moderator: Yes, we can have the next question from Anubhav Mukherjee. You may unmute yourself and go ahead.
Anubhav Mukherjee: So if you look at the sales to Yamaha in this quarter, it has like de-grown quite a bit year-on-year. And in the last quarter also, there was like an updation that we would be like taking up new

models of export and Indian models as well. So did that not factor in this quarter because there is a significant de-growth from Yamaha year-on-year?
Management: Yes, so in Mr. Jain's speech, it has already been declared that Aerox 155 is recently being launched. And this is doing good in the domestic market. We can look after in the next quarter or next to next, we will have domestic and export businesses also. Where in other side, if we see Europe market is going down, slow down, and that is resulting our export business, which is being declared that most of the premium segments products we were having and we will be exporting to Europe countries.

And this is not resulting the minor sales of Yamaha, especially for the export. Domestic is, of course, increasing with the new models and time to come new models will further be launched in the next quarter or next year.
Anubhav Mukherjee: Yes. And like there also was a mention of export only models that we would cater to. So are these in the pipeline? Can you give more details on that, like for Yamaha?
Management: Yes, we are having as of now, seven projects which are under development right now, which will be launched in 2024, 2025 and for the next three years plan, we h

ave as of now in our hands.
Anubhav Mukherjee: And these models are like for mainly for the export market or like?
Management: There will be domestic and export both.
Anubhav Mukherjee: Okay. And these are new models or like, have we gained like existing export model or like international model, both?
Management: There are 90% of the projects are new model, where in few are facelift also.
Anubhav Mukherjee: And, sir, even in HMSI, like both for this quarter and overall H1, there is a year-on-year degrowth of revenue from HMSI. So can you give some color on that? Like is it because it doesn't seem like HMSI at least sales data does not show that much of a degrowth. So is it like we have lost some share or how is it like or our model is not doing well?
Management: No, there are model mix which is doing good in some of the quarter where in overall business for 4.71 million, whatever is being declared by HMSI will be same and our share of business will remain also same. So we will be not losing any business and where in our overall growth with respect to HMSI will remain same. We are expecting good sales during next quarter and second part of the year.
Management: And HMSI if you see the production volume on a year-on-year basis, it's down 5.7%.
Anubhav Mukherjee: Yes and even sales is down like 5%- 6% which we get but like at least the data because you share the quarterly data, have been sharing for like now sometime. At least what I can see is that year-on-year our sales to HMSI has gone down by 12%- 13%. So, it seems to be more than a…
Management: See, the overall trend as I said 6% down there and ours is marginally more, sometimes marginally less. Those are dependent on models, one particular model. So there is, I would say

nothing more to read in that. Those fluctuations one model will do well, the other model will come back next quarter. Those differences happen.
Anubhav Mukherjee: And also for Hero Motocorp, apart from that Harley model, they do have some other, they made some other launches as well including I think a scooter as well. So were we the suppliers for some of these models like or any other model apart from the Harley one?
Management: Yes, we are working further on six models as of now and those launches will be soon, might be in next quarter or we are expecting two models launch in the next year.
Anubhav Mukherjee: Okay, that's all from my side. Thanks.
Management: Thank you.
Moderator: Guneet Narang, you can unmute yourself and ask the question.
Guneet, Narang: Yes, so most of my questions have been asked. I don't have a question but I have a recommendation for the management. So I mean, we are sitting on a very huge cash pile and the share is also reasonably priced. So I mean why don't we do a share buyback which will act as a good reward for the long term shareholders because some of our shares would be extinguished permanently and the valuations would in turn be better because of the buyback and act as a reward for the long term shareholders and also I mean will also show us about the confidence of the company in itself. So I would just recommend to do a share buyback with the idle cash that is with the company. Thank you.
Management: Thank you for the suggestion. We will, I mean obviously these matters are discussed at the Board level all the time and we will sort of take your suggestion. What we have to optimize as a company is future growth. Where do we need capital? How are we looking at over the next three years to five years plan before we make such decisions? But your suggestion is important.
Guneet, Narang: Alright, that's what I was going to say. Thank you.
Moderator: Garvit, you still have your hand raised. Would you want to go ahead again?
Garvit: Yes. Thanks for the opportunity again. Just you highlighted like Europe is facing headwinds. So I want to ask, whether yo

u people see any kind of impact on our consolidated revenue in upcoming months due to Europe headwinds?
Management: No, I don't think -- we are not looking for that. It is only seasonal. We can say Europe is always, we go six months up, six months down. So we are expecting and we are very much optimistic to have a very good market from Europe time to come.
Garvit: Understood. And can you also comment upon those new products that we are manufacturing in

partnership with Gogoro? So basically, what is the competitive landscape there? Who are the existing players in India, who are already manufacturing the product and supply to two-wheelers?

Management: See this Gogoro, what we are supplying as of now, all the lightings, mirrors, plastic parts, as well as the two products which is being recently to be launched together with that is motor controller and hub motor. And these hub motor and motor controller is exclusively as of now for Gogoro. And with the support of Gogoro technology, we will be introducing these products to other OEMs also.
Garvit: That thing I understand, but I was asking from the competitive landscape point of view, like who are the existing players manufacturing these products and supplying to two-wheelers in India?
Management: There is a technology partner and technology behind this hub motor and motor controller. So we cannot see any competition within this market because there are unique technology which is available as of now with the partner. So we are looking for a good market based on that.
Garvit: Understood. And can you also discuss the competitive landscape for our LED lightings and the other automotive lightings that the products we are currently doing on? Like are you seeing any new competitors coming into the market or establishing or trying to assess the market share from you?
Management: No, it is very difficult and we are very much open about this and we are working for next 10 years of technology as of now in our R&D. So we cannot see any partner can take our business and we are taking the business from good customers and good result out of coming out from the customer's positiveness.
Garvit: Understood. That's fine. That's nice to hear and congratulations and all the best for the future.
Moderator: Viraj, you have your hand raised. Do you want to ask a question?
Viraj: Yes, I just had two queries. One, sir, you talked about six models for Hero which you will be looking to commercialize. So these are existing brands of Hero or these are new models altogether?
Management: These are new models of Hero.
Viraj: Okay. And in terms of existing brands, is there any action in terms of, because the existing vendor they had, they are facing a lot of issues and going under restructuring?
Management: Correct. We are working very closely with Hero right now. We cannot declare anything but we are very open and we have a capacity available to manage all the business which is covered and which customer is looking for this.
Viraj: Okay. And second question was largely in terms of unit realization, especially in auto LED lighting. So what we understand is, there's been further technology changes and the prices of unit LED is on a downward trend. So if I have to look at Q2 or generally or last few quarters, have you seen any moderation in unit realization because of this fast?
Management: No, we haven't seen any realization downtrend at all. I think the realization has been fairly stable. LED, in fact, we are working with customers on more and more sophisticated LEDs. Some of the ticket sizes are increasing.

Management: For EV customers, are only LEDs.
Management: India is not working for the domestic market. We are working on some specification in standard which is being applicable for the world. And those are all being covere

d within the regulatory
requirement wherein no low trend LEDs can be applied. So we cannot see anything which is being downtrend.
Viraj: Okay, fine. Sure. Thank you. Good luck.
Management: Thank you.
Moderator: Anubhav, you want to ask a question?
Anubhav: Yes, I just have a few follow up questions. Sir, like since you also mentioned that you are developing technology which is accepted globally. And like this India manufacturing opportunity is like really accelerating. Like we do hear a lot about in China plus one and also manufacturing shifting from Europe to India.
So is there a possibility apart from like our existing OEMs we can be like or are we approaching totally new OEMs to supply LED lighting? Is that a possibility?
Management: Yes, sir. We are working globally.
Management: With many European.

Management: European like Piaggio, MBK. These are already customers wherein we are developing a few products and we will be supplying to them. We are expecting good volume and good business from global OEMs also.
Anubhav: But sir, the only thing is that Piaggio is where in India and I think they have been our customers. So can we approach like completely new European or like American OEMs for supply of LED lights? Yes, is that a possibility?
Management: Right, as of now like in America also Harley Davidson is our customer and Triumph is also in our pipeline. So we are very regularly working on that and we are definitely looking for the good business from worldwide market wherever it is possible to get.
Management: And we are working many new European OEMs also. But at the moment we can't declare the same.
Anubhav: And sir, apart from this Gogoro opportunity, are there any other product diversification we are looking at any completing?
Management: Yes, there is a lot of discussion. There are number of initiatives that the company is running. Number of dialogues happening because there is a lot of changes in the landscape happening with EVs and others. But we would be able to sort of come up with a concrete plan only post our internal deliberation. So I think at this point of time there is Gogoro. But I mean there is a whole lot of other initiatives happening.

Management: We have already like Toyo Denso is our partner wherein we are as of now supplying Bank Angle sensor wherein we have already signed a document for a throttle sensor as well as USB. So soon we will be developing products for customers and supply to all the OEMs, EVs and others.
Anubhav: Yes, thanks. That's all from my side.
Sahil Sanghvi: Thank you very much. Yes, so anyone else who would like to ask a question can raise their hand. And I think we have no further questions. Thank you to the management also for patiently answering all the questions and thank you to all the participants for joining the call. Jain sir, would you like to give any closing comments?
J.K. Jain: Yes, please. I would like to thank everyone for participation in today's conference call. I do hope that we have provided satisfactory answer to all your queries. I wish you and your family a very happy Diwali. Thank you and have a good day. Thank you.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

Call: Feb 2024

February 17, 2024

The Manager,
Dept. of Corporate Services
B S E Limited
25th Floor, P. J. Towers, Dalal Street,
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q3FY24 Earning Call: Transcript.
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Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan
Company Secretary

Encls: A/a

Fiem Industries Limited
Q3FY24 Earnings Conference Call
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- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI – CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA – CFO
- OTHER FINANCE TEAM MEMBERS

MODERATOR
- MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Fiem Industries Limited
February 12, 2024

 Moderator : Ladies and gentlemen, good day and welcome to Fiem Industries Limited’s Q3 FY2024 earnings conference call hosted by Monarch Networth Capital Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the Company as on date of this call. These statements are not the guarantees of future performance, and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sahil Sanghvi from Monarch Networth Capital Limited. Thank you and over to you Sir!

Sahil Sanghvi : Thank you Manuja. Good evening everyone. On behalf of Monarch Networth Capital, I welcome you all to the Q3 FY2024 conference call of Fiem Industries Limited. We will start the call with initial comment about the results and the future outlook of the company and then we will open the floor for question and answers. So without much delay now I hand over the call to Mr. J.K. Jain, Chairman & Managing Director of the Company. Over to you Jain Sir!

J.K. Jain : Thank you. Good afternoon to everyone and welcome to the Q3 FY2024 earning call of Fiem Industries. Joining me today on this call are Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO & Director; Arvind Chauhan, Company Secretary, O.P. Gupta, CFO and other members of the finance team. The investor presentation and the results have been published on both the company website and the stock exchange. I trust that all of you must have reviewed the same.

The Indian economy continues to maintain a strong growth trajectory. As per the Reserve Bank of India, the real GDP for FY2024 is expected to increase by 7.3% on a year-on-year basis. This growth rate surpasses previous forecasts by the International Monetary Fund (IMF) and the World Bank, which were set at around 7% and 6.3% respectively. Despite global challenges Indian economy has been able to grow at a strong pace, supported by

the domestic demand, capital investment and pickup in the private sector investment. Fiem Industries continues to deliver solid performance and has posted a 10.3% increase in the net sales to Rs.483 Crores in Q3 FY2024. I am pleased to report a strong 26% jump in PAT on a year-on-year basis to Rs.40 Crores. For the Q3 of the current financial year, two-wheeler industry has registered a robust growth with a production volume of 5.5 million units. We are seeing revival in the rural demand and consumer spending and expect a strong demand to continue in Q4 of the current year. On the electric vehicle front, the government has recently announced a significant boost to the fund allotted to the FAME II subsidy, an additional Rs.1500 Crores outlay has been given which should help the EV industry. During the quarter, EV volume increased to 2.4 lakh units as compared to 1.8 lakh in the previous quarter. This is a 34% increase as compared to the Q2. We are strongly positioned in the EV market and

continues to outpace the market trends. I am delighted to announce that your Company has made a breakthrough in the four wheeler passenger car segment. It has been selected as a supplier for the full LED headlamp for a high-end European car. The Company has received the purchase order along with the advance. Further, we have already commenced design and development of the same. We have also made significant progress with passenger car OEMs in India, some of them in the final stages. This is the first big step towards our journey in the passenger car segment. Further, as you are aware that our Board of Directors have recommended a bonus share in the ratio of 1:1 to reward our esteemed shareholders. Your Company is always committed to enhance the shareholders value. I now hand over to Mr. OP Gupta and the finance team to update on operational performances.

OP Gupta : Thank you Sir. Good afternoon to everyone. I am presenting numbers for third quarter ended December 2023. The company has registered sales of Rs.483.11 Crores in Q3 FY2024 in comparison to Rs.437.9 Crores in same quarter last year, which is a growth of 10.32%. The EBITDA for Q3 FY2024 is Rs.64.49 Crores translating into margin of 13.35% as compared to an EBITDA of Rs.59.63 Crores that is 13.62% in Q3 of previous financial year. PAT increased by 25.86% to Rs.40.3 Crores as compared to Rs.32.02 Crores in corresponding quarter of FY2023. During the quarter the company has made a capex of Rs.20.61 Crores. Capex for nine months period ended December 2023 is Rs.71.76 Crores. With this, I end the financial brief and now the floor is open for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aashin Modi from Equirus Securities. Please go ahead.

Aashin Modi : Hi congratulations Sir for this new breakthrough in the four wheeler segment that we have got, so Sir I would like you to talk more about this business and what was the technology spend which was required and what sort of margins do we expect in this business and also what sort of capex into capacity and technology do we expect in the four wheeler business going ahead?

Management: Thank you. I am Vineet Sahni this side and thank you for your question. See this is full LED headlamp which involves the latest technology and as we have shared in the past we have started this journey by creating the infrastructure for four wheeler and we opened our Pune design office

also, so we have hired the necessary resources, so with this development is being done at Fiem
Industries by our own team and we are working out the numbers but currently we will be using our
existing capacities and no further capex is required for this particular business.
Aashin Modi : Sure Sir and given the fact that it is an export order it will be quite

incremental on the margin front
any guidance or anything over there?
 Management: Not at this moment because the product is at the design and development stage so we will be updating appropriately in future.
Aashin Modi : Is there any timelines on when we should start picking up?
Management: So this will pick up in Q4 and beyond next year. It will go from Q4 of next financial year and
beyond because the development lead time for such products is high.
Aashin Modi : Any thoughts on any form of technology licensing or any sort of JV we look to do going forward in
this space or do we continue to expect it to do all the things in-house only?
Management: So we will do all the things in-house and wherever external supports are required we have
outsource agencies who will help us but the responsibility is with Fiem Industries and we will do
the development ourselves.
Aashin Modi : Sure Sir thanks. My next question is regarding the two wheeler customer and sales so we have seen
a pickup on quarter-on-quarter in Yamaha versus Yamaha production numbers so any new business
that has picked up in this Yamaha during the quarter?
Management : Yes there is additional one model which is being picked which is ZXR model that model is being
converted into class B to class D where in the product is being now started for domestic as well as
export market both. So that is the only one model which is being launched during this quarter.
Aashin Modi : Why I did ask this question Sir so Yamaha is seeing good ramp up last year and then it was flattish
or a bit down this year so could you give us more clarity on how do we see Yamaha business going
forward with what sort of model launch pipeline and what sort of a revenue growth do we see with
Yamaha going forward?
Management : We have been awarded four businesses for Yamaha and we are looking for a sales figure with the
volume which is being produced in India as well as export market.
Aashin Modi : Any quantum on how many models have been picked up and what new model launches as expected
over next year?
Management : Two models will be launched during next year.
Management: I think specific data point we cannot disclose but directionally what Mr. Rajesh Sharma mentioned
there are several projects in the pipeline and the business pipeline with Yamaha looks robust but
specific volume number we will not be able to give you.
 Aashin Modi : Sure Sir and the last question is regarding the order book so if you see in last one year our
outperformance increase in the two wheeler industry has been a bit low so what percentage our
instant order book is currently from LED and what sort of penetration growth could we see in the
next one or two years given the fact that they are sort of penetration numbers?
Management: So, on the new orders for the current quarter our LED share is 51% which has increased from 47
that was there sequentially the previous quarter. The new order book that is there most of the
projects are on the LED side so we expect this number to bump up significantly as we move
forward. We had always guided towards 60 but we think this should move towards 65 to 70%.
Aashin Modi : Sure Sir. I will join back in the queue. Thank you.
Moderator: Thank you very much. The next question is from the line of Jatin Chawla, an individual investor.
Please go ahead.
Jatin Chawla : Thanks for the opportunity. Sir my first question is when I look at Fiem's revenue growth over the
last 8-10 years there has always been a reasonable outperformance over the underlying two wheeler
industry now when I look at the last quarter the two wheeler industry grew 19% and Fiem has
grown 10% and even for the nine month period there is not much outperformance this year that
Fiem has over the underlying two wheeler industry so what is c

ausing this and when is this kind of
likely to change?
Management: So couple of points there. I think if you look at first the H1 the two wheeler industry volumes have
been pretty flat in H1. Now if you look at the current quarter you are absolutely right the industry
has grown 19% but that is in volume terms, what we are reporting is more our value terms and
hence disconnect. I think structurally we continue to in fact maintain our market share if anything
we have sort of got several new orders from our existing customers so there is no loss of market
share what has happened is that there have been a couple of models, for example with Honda there
has been a model which was launched for 100cc, Honda Shine. That model has done good volumes

and we are not present in that. It is low cost entry model for Honda so I think because of these numbers sometimes you get the impression that there is distortion of figures but otherwise we continue to have the market share and over the next several quarters you will see that our product mix comes into play and we will continue to outperform.
Jatin Chawla : Got it and I think to the previous question you answered that you expect the LED share to rise eventually to 65 to 70% that is as a percentage on the revenue side or on the volume side, total volumes you expect that kind of share?
Management: This is on revenue, we reported on our revenue.
 Jatin Chawla : Right so when you say new order share revenue share is 51% that is not too different from what your current revenue share is within lighting if I look at your revenue share even today LED ratio is kind of 51- 52%?
Management: So as a company we are at 51% of all automotive lightings that we are doing, 51% is LED. This share at a company level will gradually shift towards 65 to 70% driven by the new pipeline that we have.
Jatin Chawla : But in the last quarter order book that you were saying it is still at 51% only right?
Management: Order book and LED share is a separate item. We are saying LED share for the company today stands at 51 was 47 last quarter. This will keep moving up towards 65 to 70%. Now the driver of that is the new order book that we have and that order book predominantly is mostly LED and which is why, structurally we are moving for higher LED share.
Jatin Chawla : Got it and on the EV two wheeler side post kind of government being tighter on the FAME subsidies we have seen some of the smaller EV two wheeler players are struggling with the volumes so how are you kind of placed with some of the larger EV two wheeler players and how do you see your EV share panning out over the next two, three years?
Management: We currently work with more than 35 EV players which are either small, medium, big. The largest of them, the middle, and the even the lowest. So we are pretty much hedged in terms of who is able to gain market share. Obviously, the top player today is the likes of the Ola or TVS, we work with all of them and our share continues to grow.
Jatin Chawla : Got it. Thank you.
Moderator: Thank you very much. The next question is from the line of Dishant Jain from Quasar Capital Partners. Please go ahead.
Dishant Jain : Sir can you help with the volume growth for Q3 or nine month?
Management: We do not give the numbers in the volume and you already have the growth in the value terms.
Dishant Jain : Just wanted to get an update on the Sonepat power plant like are we facing any capacity constraint due that power plant is affecting our volumes right now just wanted to check on that plant?
Management: No, actually if you see, what we submitted already the information we keep updated…the production was resumed within three days and whatever we are doing it will be quite fast, the restoration of all the facilities. As far as the capacity constraint, this is not there.
 Dishant Jain : Sir any update on the insurance claim which are yet to be received, any update on that?
Management: This is under process.
Dishant Jain : That is all. Thank you.
Moderator: Thank you very much. The next question is from the line of Viraj Kacharia from SIMPL. Please go ahead.
Viraj Kacharia : Thanks for the opportunity. Just couple of questions. Now if you look at the sales breakup which we share in the presentation the reason why the sales performance has been relatively weaker compared to the two wheeler growth is if you see the other products that has not declined and even the plastic product segment we have seen a flat growth so the lighting business continues to see a very healthy performance so if you can just give some perspective what is causing a muted or a degrowth in ex of lighting product segments and if one has to understand the drivers of growth in these two segments in coming years what would that be?
Management: I think you are referring the plastic parts and the rear view mirror parts, if I have correctly understood?
Viraj Kacharia : Plastic and then Others.
Management: Others, okay so you have to see that our main product line is always the lighting, and other the rear view mirror. So whatever is the requirement of the customer, what we are doing the plastic parts and Others always remain as per the customer requirement. But why this percentage is showing less growth, because the growth has happened more into the lighting. So this is the only reason.
Viraj Kacharia : Sir what I am asking is what is causing a flat growth in plastic product segment and similarly if I look at others we have been trying to introduce new products for many years also so in other products also what is causing the degrowth because that is the only reason why overall sales

performance has been on a relative basis lower than what the end market has grown?
Management: See some of some of de-growth that you are talking in plastic is also softening of the raw material costs therefore it is not reflecting as a revenue growth. While we understand we need to focus on these products more which are coming in our strategy we will in future focus more. Our current focus is more on our prime product, which is lighting.
Viraj Kacharia : Second question Sir this is to Mr. Sahni so first of all congratulations to you and the team and to Mr. Jain on this milestone of breakthrough in PV, just couple of questions here, one is what would

 be the size of order indicatively and second is wanted to understand the top five KPIs for you or the major milestones what would that be and where are we right now in that journey?
Management: So see at this moment we are not able to disclose the right numbers and details. Important point today was to make an entry into four-wheeler and that too of the top end product which is a full LED headlamp. Now what it does to us is we create a right infrastructure to develop such complicated products for OEMs not only for Europe but also for Indian market that makes us future ready as Fiem industries into four-wheeler segment and with this we are now armed to approach Indian OEMs as well and this is in final stages as intimated by Chairman and in future we do see a good growth in this segment. However, I must tell you that the lead time for development of such product is high in four-wheeler, so therefore we are not talking about any numbers at this moment.
Viraj Kacharia : The question on the major milestones for you say either before you start putting in any major capex and also in terms of the breakthrough say in Europe what we understand globally the market is very concentrated between the top three, four players, they would have more than 70-75% share so for us who is kind of venturing into four-wheeler space for the first time what has enabled

us to gain
share especially in export market in Europe?
Management: See our strategy is to move step-by-step and in a strong manner. We do not want to commit errors, so we do not want to jump and get into very big OEMs and order. We need to first create right infrastructure to support our customers and move step-by-step so as you talked about KPI as I told you the next step is to make entry into some of the OEMs in India and we are actually at very close to doing that and then start in a small manner and then gradually once we prove ourselves I am sure our customers will respect us by giving us bigger orders.
Viraj Kacharia : Okay just two more questions if I may, one is on the employee cost if you see there has been a healthy jump in last two, three quarters and put on year-on-year basis so any one-off in this or what is causing this and second is on the tie-up we have any update you can give in terms of the scale of operation and how do we see that?
Management: First is about this employee cost, you see it is result of two things, one is that our four-wheeler team has increased and resources are being hired for design and development, that is one factor. Further, the small impact.. that there is a shutdown also for some days, so that also impacted, because production is less. Next question was about the Gogoro, right?
Management : Like Gogoro have launched first model that model is mainly we launched for the B2B. Now the coming year they are planning to have a B2C that volume we can foresee during next year so as of now they have not started the mass production they produce very small quantity and looking for the good business from B2B segment only as of now.

 Viraj Kacharia : Sure I will come back in queue. Thank you.
Moderator: Thank you very much. The next question is from the line of Anubhav from Prescient Capital. Please go ahead.
Anubhav : If I look at the revenue from other OEMs and I suppose the electric two wheeler OEMs would be in this category that saw 7% year-on-year degrowth while if you look at the numbers for Ola this quarter they have seen a very healthy growth so what is causing this degrowth in the revenue from others, is it like from the other OEMs or how is it?
Management: Your observation is correct. This… Other OEMs are all, other than top four which we report separately. And as far as the percentage is concerned what is down or up it is because so many customers are there except this four, every small customer or even the other OEMs are in this. So there is always a change in the business. So, this is happening, otherwise there is no big reason of any difference.
Management: So just to support, this I think we can confirm there is no loss of business share we supply as per the demand and the production of the OEMs, so if OEM production is less then naturally the revenue will be less but it is not at the cost of losing any business to competition.
Anubhav : I get that. Sir apart from Ola would you be able to share like which are the other key top EV, two wheeler OEMs for you?
Management: TVS, Simple Energy, Ultraviolette, Ampere, Okinawa, Revolt, these are the major customer to

whom we are working as of now.
Anubhav : I get that and the TVS volumes would be categorized as for TVSs I suppose not in the others category for the electric two wheeler?
Management: Yes, everything for TVS.
Anubhav : Sir Hero MotoCorp apart from the Harley-Davidson model they have launched a couple of other models like I think there is a Zoom scooter which is coming with LED headlights and Karizma also they have launched or launching a model so are we supplying to any of these new models?
Management: N o, these two models whatever you named are not of our portfolio. The new launch will be during next month which is having our Fiem products within this and further on… during the next year we will be expect

ing two new models wherein the complete presence of Fiem is there.
Anubhav : I get that. Thanks. That is all from my side.
 Moderator: Thank you very much. The next question is from the line of Varun Arora from B&K Securities. Please go ahead.
Varun Arora : Thank you for the opportunity Sir. Sir can you repeat your employee cost I did not get your point?
Management: So… the question was about some increase in the employee cost during the quarter. The reason is one is the new team is joining in the four-wheeler and other is, there is small impact of the shutdown also in second half of December for some days.
Varun Arora : Sir what is your outlook for next quarter as well as for FY2025 what sort of growth you are seeing now if you can throw light on that?
Management: I think overall the two wheeler industry, I think H2 we have always maintained is looking better and we continue to maintain that Q4 looks optimistic and not just Q4 as we look ahead for the next year FY2025 we see all roadblocks being removed so to speak as far as the growth is concerned and I think the two wheeler industry will grow well and we should grow even better.
Varun Arora : Sir by the way on LED share so you said 65 to 70% you will achieve, by what timeline you are looking at this number since we are at now 51%?
Management: So between two to three years is what this outlook is for.
Varun Arora : Sir coming back to the previous participant's question you said by next quarter Hero will launch couple of products like just you said, just for clarification I need?
Management: N ext quarter will be one model wherein next year will be couple of models.
Varun Arora : Couple of models and are you also there in the recently launched Xtreme 125R so are you guys there?
Management: No, we are not in that.
Varun Arora : Thank you Sir. That is all from my side. Thank you.
Moderator: Thank you very much. The next question is from the line of Sahil Sanghvi from Monarch Networth Capital. Please go ahead.
Sahil Sanghvi : First of all congratulations to Jain Sir and Vineet Sir for the breakthrough in four wheeler space. My question is what was the contribution from the EV two-wheeler and revenue in 3Q?
Management: So, this EV is 5.6%.
 Sahil Sanghvi : I think there were a couple of new model launches that were expected to come in Q4 this year I understand Hero there is one and Yamaha there is I think two, three correct me if I am wrong any other launches expected in Q4?
Management: Piaggio new model is coming during Q4.
Sahil Sanghvi : That is all, right?
Management: Yes that is it.
Sahil Sanghvi : Thank you.
Moderator: Thank you very much. The next question is from the line of Jatin Chawla from RTL Investments. Please go ahead.
Jatin Chawla : Thank you for the opportunity again. This order on the four wheeler side that you said European customer is it an export order or you are supplying domestically to a European OEM?
Management: It is an export order.
Jatin Chawla : You will be exporting. Normally we see LED headlamps or headlamps are not a product which kind of travels very easily?
Management: Yes, it does. But we offered value proposition to them and not in cost but in the speed of development and therefore, we could get this order, so in overall scheme of things we were selected for this source.
Jatin Chawla : Got it. Second question is on TVS so Honda you explained right that there was a particular model which is doing well hence maybe compared to overall Honda volumes you are not doing that well even on TVS when I look at the last five year CAGR also your revenue CAGR is 5% now TVS volume CAGR itself is 5% and given the LED penetration their overall revenue CAGR would have

been much higher so it seems we have lost some share of business within TVS also at an ov

erall
level, what is kind of causing that?
Management: No, we have not lost any share. In fact, we have gained share so I do not know what figures you are talking about. Our TVS numbers even if you look at in the current quarter our sales have increased 27%. So, I do not know what figures you are quoting but we continue to maintain our market share.
Jatin Chawla : I was looking at slightly longer term numbers FY2019 to FY2024 and it seems there is almost only like a 5% kind of CAGR in revenues over that period?

 Management: Probably, value-volume is getting mixed. I think if we take like-to-like we are very confident we would have not lost anything at all but we can come back with a detailed data point for you.
Jatin Chawla : Sure that would be useful. Last question so we see a lot of two wheeler auto ancillary companies given that there is a big kind of onetime shift happening in the industry where industry is moving from ICE to EV are entering new components, any plans from that side?
Management : We had already announced during our last quarter because with Gogoro we have tie-up to make a hub motor and motor controller and coming forward we will be in ECU also so this production will start during first quarter of next year. We are just installing the machineries and we will be ready to explore the market with these two products as of now motor controller and hub motor during next year.
Jatin Chawla : This is for Gogoro only right now right or any other OEMs also we have?
Management : This will be initially with Gogoro and further on we will explore with new customers also.
Jatin Chawla : Thank you.
Moderator: Thank you very much. The next question is from the line of Viraj Kacharia from SIMPL. Please go ahead.
Viraj Kacharia : Thanks for the opportunity. On Hero what we understand they are looking at upgrading the existing major brands they have in terms of the aesthetic part and the current supplier seems to have challenges when it comes to LED capabilities. So are there any discussions around order wins for the existing major brands they have or the pipeline you talked about is largely for new model portfolio?
Management: As of now, we are working for the new model, as and when we will get the opportunity for the existing models wherein any problem is faced by customer we are ready for accepting this because we have a capacity and capability available with us.
Viraj Kacharia : Second question is on the PV announcement. So, just trying to understand which OE would this we supply the reason again I am trying to ask you what you said on the entry strategy that we are not looking to compete directly with the MNCs head on and if you look at the market structure there also you have the likes of (inaudible) 40:12 so they are kind of supplying across the Board right from mass market so just trying to understand what segment and OE which we are catering initially?

 Management: So we are catering to a niche segment, to start with but with high technology product and at this moment we are unable to disclose all details but that is all part of our strategy. Like you are aware company has to prepare very well for addressing this kind of a market, which demands high quality and high technology so this is part of our strategy and we are moving as per that.
Viraj Kacharia : So when you say niche segment is it within the passenger vehicle segment or it is a different application segment altogether?
Management: It is passenger car.
Viraj Kacharia : Is it more of fresh order or we are more of a second source supplier to them?
Management: It is fresh and it is a new development. We are doing complete design and development.
Viraj Kacharia : I understand there are initial orders we have and we are also talking to other OEs in India but one has

to look into the milestone for investment in a facility what would you be looking at in terms of the milestone before putting or committing to a large investment?
Management: See normally, the milestone for any new plant is one order which justifies a capex. So we are very prudent in deciding on capex and a new plant. For example, any order let us say India 50,000 to 100,000 vehicles set is the right quantity to set up a new plant so this is our journey and we will go step-by-step and at appropriate time we will inform about setting up new plant when we are ready for such big orders.
Viraj Kacharia : So I understand this may be more of a chicken neck kind of a situation but in your interaction say with the OEs especially in India would not this also be one of the major barriers in terms of getting the business because they may want a dedicated setup when it comes to four-wheeler and right now we do not have any such infrastructure in place so in terms of our approach also would we be open

to setting up this capex even before we get any order or how are we kind of approaching this whole thing?
Management: It is not prudent to set up a capex or a new plant without the order because lighting is a highly capital intensive unit. However, I want to tell you we have entire facilities available with us to convince our customers. Our existing plants will get approved and they are in the final stages of approval, because customer sees our management and the experience in building up the product which we have. So, we will invest very judiciously and we will be very prudent in our capital investment as it is very important to do it at appropriate time.
Viraj Kacharia : Just one more in terms of investment also in P&L you said that lot of resources we have added, lot of investment tech capabilities buildup we have done even before we got the order so in terms of

 investment we have kind of frontloaded a lot of that in the P&L already, one has to understand and say the annual investment and P&L we have been doing what would that be roughly?
Management: It is just the manpower, technology cost that we are talking. We have not ordered any machine it is like softwares and the skill that we have.
Viraj Kacharia : I am just talking on that perspective as well, just indicatively like more like 15-20 Crores kind of investment in P&L?
Management: Sorry to interrupt you it is too premature to give you any number. At appropriate time when we have a right business plan in place we will keep you informed.
Viraj Kacharia : Fine sure. Thank you and good luck.
Moderator: Thank you very much. The next question is from the line of Smit from Monarch Networth Capital. Please go ahead.
Smit: Congratulations on a decent set of numbers. Sir my question is regarding wallet share in say headlamp, tail lamp, etc., with the OEMs?
Management: This wallet share actually we share on the yearly basis and I am sharing this wallet share for the last financial year FY2022-2023. I will start with TVS. For headlamp we are having 68% and for tail lamp is 86%, winker 85%, RVM 62%, and DRL we are 100% and license lamp is almost 95%. For Yamaha head lamp is 83%, tail lamp is 63, winker is 10% and RVM is 82%, position lamp we are 50%. For Suzuki head lamp is 71%, tail lamp is also 71% and winker is 4%, RVM 100%, reflector is 100% and license lamp is also 100%. For HMSI head lamp is 40%, tail lamp is 76%, and winker is 85%, RVM is 100% for position lamp and reflector it is 100%. These are for FY2022-2023.
Smit: Thank you Sir and one more question regarding some other products which we had mentioned in our annual report that is the USB charger and GAPS sensor with technical assistance arrangement that we have Toyo Denso, any light on that regarding some timelines or what stage of development the product is in and when can we expect the products

to contribute to revenue?
Management: So this is with our existing technology partner that is Toyo Denso. So, maybe it is too early to talk about this, maybe in next year, we will update you when anything happens.
Smit: Thank you.
Moderator: Thank you very much. The next question is from the line of Anubhav from Prescient Capital. Please go ahead.

 Anubhav : Sir for the motor control unit product can you provide some detail on what stage are we in terms of product development and any details like when can it be launched over here?
Management: On hub motor and motor controller, we are already supplying SKD as of now to Gogoro wherein our all equipments are on the way trans transferred from Taiwan which we will be expecting by mid of next month and one month is required just to have installation of this so by next year first quarter we will resume our production for complete domestic assemblies of hub motor and motor controller.
Anubhav : Just a followup like will it require like investment in a team because motor control unit in my sense is very software and electronic intensive so like what kind of development effort will it require?
Management: SMT lines are already available with us and the software and other circuit design everything is being as of now provided by our partner Gogoro. So we will start the production with the facilities available with us wherein the specific assembly line and the testing machines are under transit right now.. which will be installed shortly and by first quarter we will start the production.
Anubhav : Sir what is like thought on this eventually will it like localized or what percentage of localization will there be for this product?
Management: We are working to localize by more than 75% of the product wherein 25% will be the electronic component which will of course be import from outside only.
Anubhav : I get that. Thanks that is all from me.
Moderator: Thank you very much. As there are no further questions, I will now like to hand the conference

over to Mr. Sahil Sanghvi for closing comments.
Sahil Sanghvi : I would like to thank the management first of all for very patiently and elaborately answering all the questions. On behalf of Monarch Networth I would also like to thank all the participants for joining the call. Jain Sir would you like to give any closing comments.
J.K. Jain : I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions please do not hesitate to contact us. Thank you and have a good day and good evening.
Moderator: On behalf of Monarch Networth Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

Call: May 2024

May 28, 2024

The Manager,
Dept. of Corporate Services
B S E Limited
25th Floor, P. J. Towers, Dalal Street,
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q4/FY24 Earning Call: Transcript.
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on May 23, 2024 to discuss Operational and Financial performance of the Company for Q4/FY24. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan
Company Secretary

Encls: A/a

Fiem Industries Limited
Q4FY24 Earnings Conference Call
May 23, 2024

COMPANY MANAGEMENT
- MR. J.K. JAIN – CMD - MR. RAHUL JAIN – JMD
- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI – CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA – CFO
- OTHER FINANCE TEAM MEMBERS

HOSTED BY
MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Fiem Industries Limited Q4 FY '24 Earnings Conference Call hosted by Monarch Networth Capital. This conference call may contain certain

forward-looking statements about the companies, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sahil Sanghvi from Monarch Networth Capital. Thank you and over to you, sir.
Sahil Sanghvi: Yes, good evening everyone. On behalf of Monarch Networth Capital, I welcome you all to the Q4 and FY24 conference call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we will open the floor for questions and answers.
So, without much delay, now I hand over the call to Mr. J.K. Jain, Chairman and MD of the company. Over to you, Jain sir.
J. K. Jain: Thank you. Good afternoon to everyone, and welcome to the Q4 FY '24 Earnings Call of Fiem Industries. Joining me today on the call are; Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.
The investor presentation and the results have been published on both the company's website and the stock exchange. I trust that all of you must have reviewed the same. Fiem Industries has reached a big milestone posting its highest ever sales by exceeding INR2,000 crores and attaining a net profit of INR166 crores in the financial year FY '24.
Your company has delivered an outstanding performance, showcasing robust results for both the last quarter and the entire year. The 2-wheeler industry is growing strongly with the production volume reaching 21.5 million units in FY '24. This increase is due to the improved consumer sentiment and higher rural demand.
April numbers for the 2-wheeler industries also reflect the robust trend in the OEM volumes. We believe this growth will continue in the coming years, reaching new highs. For the full year FY '24, our valued OEM customers have also done well with Honda, TVS, Suzuki and Yamaha all achieving double-digit growth this year. Their confidence in future growth is demonstrated by the plans of many OEMs to setup new plants to meet the growing demand of the market.
We also see good growth in export with Hero Harley development, new models specifically for the international market, backed by the success of the X440 locally. Additionally, TVS acquisition of the U.K. based Norton had led to the collaborative efforts in developing new

products for the Norton brand. We, thus, believe that overall demand outlook continues to be strong.
In order to position ourselves for this demand, we are also preparing for a major capital expenditure program. We expect to spend INR250 crores to INR300 crores over the next 3 years to drive our future growth. In the last quarter, I announced that your company had made a breakthrough in the 4-wheeler passenger car segment in the European market. I am delighted to share that we have also received order from the reputed OEMs in the Indian passenger car segment also.
We continue to make significant strides in our journey, marking this as a major milestone as we expand into the passenger car market in future

. Further, I am pleased to inform that our Board of Directors have recommended a dividend of INR20 per share on the enhanced share capital, post to 1:1 bonus share.
I now hand over to Mr. O.P. Gupta and the finance team to update the operational performance. Thank you.
O. P. Gupta: Good afternoon to everyone. First, I will present Q4 numbers, after which I will cover the full year FY24. The company has registered quarterly sales of INR554.7 crores in Q4 of FY24 as compared to INR432.84 crores over the same quarter last year registering a growth of 28.1%.
The EBITDA in quarter 4 was INR75.46 crores translating into an EBITDA margin of 13.6% as compared to INR60.21 crores over the same quarter last year with an EBITDA margin of 13.91%.
The PAT of the company has also increased to INR47.1 crores as compared to INR38.05 crores in Q4 of FY23 representing an increase of 24.02%. Now, I will briefly cover the numbers for full financial year 23-24. During FY24 the company has achieved net sales of INR2,014.37 crores as compared to INR1,834.04 crores in FY23 representing a growth of 9.83%.
As a percentage of total automotive lighting, the LED lighting stands at 52% in comparison to

49% during last year. EBITDA stands at INR267.97 crores as compared to INR247.85 crores during FY23. PAT of the company stood at INR165.84 crores as compared to INR139.63 crores during FY23 which is higher by 18.77%. During the year, the company has made a capex of Rs INR85.86 crores. With this, I end the financial brief and now the floor is open for questions and answers. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of CA from Nvest Analysis Advisory LLP. Please go ahead.
Garvit Goyal: Good evening, sir, and congrats for a good set of numbers. I have three questions. One is our company has consistently delivered bottom-line growth year after year and while this is commendable, I am concerned about our top-line growth. Despite having the marquee clients we are only achieving lower double-digit top-line growth.
Although we may be outperforming the industry, I believe a company of our calibre under efficient management should adopt a more aggressive approach to increase the market share and

diversify further. So, can you please elaborate on why we are not pursuing more aggressive strategies for the top-line growth and what can be the steps that we are planning to take to improve our growth trajectory further?
Management: Thank you for that. I think as you rightly said we have outperformed the industry over the last many years. But also looking ahead if you notice we have actually made a lot of investments over the last 12 months and a lot of investments are now envisaged as we have just announced a large capex program.
So, in line with what you are saying we have already thought through that there are several new areas that we want to work in. The four-wheeler segment is obviously something that could be a very big growth driver for us. The other segments including hub motors and others are also being talked about. So, I think your point is already noted. The management has already been working over the last 12 months to 18 months towards several new initiatives and you will see the output over the next couple of years and the investment for that is being made as we speak.
Garvit Goyal: And sir you mentioned about the capex like what is the area that this INR250 CR to INR300 CR capex will go into?
Management: It will go across. So, one is obviously enhancing our existing capacity for the current segment. There is a certain capacity requirement in South India. There is also going to be capex for the new projects which we announced on four-wheelers. There will also be capex around the hub motor units. So, all of that combined we envisage INR250 crores to INR300 crores cape

x to
happen.
Garvit Goyal: And sir I am also concerned about the apparent delays that are happening in Fiem and the Gogoro project for manufacturing the hub base and the motor controllers. So, could you please explain why there has been no meaningful contribution to our top line so far? Additionally, please also provide some details on the capital expenditure incurred on this project to the date and specify when we can realistically expect to see some revenue generation from this area?
Management: See, so about this Gogoro, what they did is because initially they planned for market B2B that was the one bottleneck because the prices of first model which is being launched was little bit higher side. The acceptability from the market was very poor.
Now, company is already working to launch a new vehicle which will be competitive in the prices, which is equal to the part of the vehicle which is being already in the market. And company will be soon giving back overall information to launch this kind of vehicle, which will be at par with customer expectation. And same time, we will be doing the indigenization for this hub motor and motor controller because once it will be indigenized, the PLI and other scheme can be managed by Gogoro.
So, another six months-time, we will be in position to give you the exact figure and overall volume.
Management: And basically, we were not able to give more because the production of Gogoro was not there. So, they have produced so far only 5000 numbers. So, basically, it is driven by the OEMs.

Garvit Goyal: So, do you see any kind of revenue coming into in FY’25 from this area?
Management: We are expecting it is totally depended on the customer as well as the plan from Gogoro.
Garvit Goyal: And lastly, on the innovation side, so could you also provide an update on the development timelines in the current phase of that USB charger and the gap sensor which are being developed

with technical assistance from the TOYODENSO? Further, what are the new innovations in the terms of new product development that we are doing right now at our R&D centres?
Management: TOYODENSO, it is being not the new product, it is being developed and already in the market, it is all under supply since last five years, wherein we are working for some new products also which will be still under discussion with customers.
Garvit Goyal: And what are the new products that we are doing at our R&D centres apart from these things?
Management: Yes, we will be working for so many projects like especially for the lighting areas only. One is the major thing which we are planning right now to establish our EMC & EMI is there which is necessary to have testing and validation in house and a laser headlamp.
Management: So, I will just add on, we are working on three main technologies. One is a laser technology which is a technology of the future and that will go both in two wheelers and four wheelers and we propose to be the first in the industry to launch that. We are working very closely with the customer.
Secondly, we are also working on a night vision which is the need for A segment, B segment and C segment cars. So, we are working on that technology along with customer. And third, we are also working on the ambient lighting technology which is mood lighting which is specific to four wheeler.
So, that is also new technology that we are working on. So, apart from that, we are also working on certain technology which we cannot disclose at this moment.
Garvit Goyal: Understood sir. And sir, what is the guidance for FY'25 in terms of top line?
Management: So, it is difficult to give a number on this but we will grow organically in this around 12% to 15% is what we anticipate in the coming year. However, if some targets come across our way, we will capitalize on that. But at this moment, we anticipate 12% to 15%.
Ga

rvit Goyal: Understood sir. That's it from my side. All the best for the future.
Moderator: Next question is from the line of Gagan Deep from Nvest Analytics Advisory LLP. Please go ahead. Mr. Gagan Deep, your line is unmuted. Please proceed.
Gagan Deep: Sir, my question is already answered.
Moderator: Thank you. Next question is from the line of Viraj from SiMPL. Please go ahead.

Viraj: Yes. Hi. Thanks for the opportunity. Congratulations on good set of numbers. Just couple of questions. A question on the PV part, this new order which we talked about, if you can just give some more perspective in terms of is it an existing order or it is a new product development which we back for? And what will be the size of the order? And when do we expect it to commission?
Management: One of the orders that we received for headlamps for European is a totally new development. So we are designing it in here. Right. And the development is on. Design has already been approved by the customer. Prototype is under approval. And this development time will take another six months for the tool to be developed. And then we will start the supply, let's say, in around the end of this financial year, we should be starting the supply. The expected revenue will depend on the offtake from the customer.
Viraj: So, on the Indian OE order, any update you can give into the size of opportunity when do we expect it to start?
Management: Yes. So we received order from three of the Indian customers already. One of the product is under development and we believe that we should be able to productionize it fast. In next three months, we will start in a small way for one small lamp and then other RFQs we have started receiving and working on that.
Viraj: So, this order is for the headlamp piece or is it more on the tail lamp or any colour further? That is one. And, when you say INR250 crores, INR300 crores, how much we are allocating for the four wheeler piece?
Management: So this order is for small lamp at this moment, but LED new technology lamp. And this we are doing it from our current plant only. We are not investing specially for this business because we have capacity and this design is complete and approved by customer. The product is under tooling at this moment.
Viraj: Okay. And so on the capex piece, when we say INR250 crores, INR300 crores, capex on next two to three years, earlier communication was when you look at our existing facility, which is largely for two wheelers, we have sufficient capacity to cater to, say, around close to INR2,800 crores to INR3,000 crores scale, if the market shifts to LED. And hence the capex expectation for next two, three years, at least was very muted.
So,when we say this INR250 crores, INR300 crores, even for PV, we are not going majorly in a brownfield, not in a greenfield way. So what are the major components of this capex?
Management: So if you see the current year, capex is already INR86 crores. And so if you see organically, if

you were to put next two, three years number, you will already be at INR200 odd crores. So additionally, we built in some more capex for expansion at our Hosur plant and also for four-wheeler that, as I said, is an estimated number, which will be crystallized over the next six, nine months. That's the broad capex range we are giving.

\Viraj: Okay. And in terms of the existing two wheeler business, so, you know, if you look at our production, if you compare the production numbers of, say, HMSI or Yamaha for last, say, three quarters, our sales performance has been underperforming compared to the production growth you're seeing in, those two customers. So what explains the underperformance?
Management: I think what you should do is ideally look at more a yearly and a three-year trend.
Viraj: I'm looking at the last three quarters

, so almost a year is what I'm looking at.
Management: Yes. So actually, except for the first two quarters, last two quarters, we've done better than their volumes. But what happens when we explain the last quarter also, sometimes one product or a particular customer thinks of where we're not there. If you look at overall volumes and overall our growth and if you look at on a yearly basis, you won't find much of a difference there.
Viraj: Can you give, the wallet share, which you used to give earlier in terms of headline, for the top four customers?
Management: Sorry, Viraj, that wallet share actually we tried to work out, but, this information we take from the customers as well as some internal sources. So this time, we are not able to do that.
Viraj: Okay, just two more questions on the gross margin part and again on the realization as well. So if you look at this particular quarter, we have seen a sharp moderation in our gross margin. So what is it driven by? And on realization, if you see globally, there's a change in technology in LED itself, which has given a drop in realizations across the board. So for us also, are we seeing any similar trend playing out?
Management: So you are specifically questioning on the gross margin, or means you are talking about the EBITDA margin overall?
Viraj: No, my question one is on the gross margin, sir. That if I look at this particular quarter, Q4, we have seen a moderation in gross margin, almost 200 business points year-on-year. What is it driven by?
Management: So if we see…material cost is same, even the other costs are the same. The only thing, some increases in the manpower and this is the main difference. There is no big difference, otherwise.
So I think I would say -- rather than quarter, because what happens, there's always a lag in the customer compensation of the raw material costs. So it is always better to see annualized working of gross margin. And if you see that, the gross margin has not changed.
Viraj: Okay, just one more question. On the realization part, if we can just give some perspective, are we seeing any moderation and realization, especially in the LED part?
Management: No, I think it is just the same. It continues because we have a back-to-back path to compensation from customers and it continues in a similar manner.
Viraj: Yes, okay, got it. And on the replacement business, if I look at this business, for last two, three years, we've seen a very healthy growth. And given where the market is shifting towards LED,

usually the replacement cycle is much longer than what one would think. So what explains the growth in replacement business for us?
Management: See, our replacement business is going on the same requirements, whatever the products we are selling earlier, the only difference is that the lighting requirement is no higher, because of the LED. It is steady. So even, during the current year, we registered a good growth in the replacement market. It's INR141 crores.
So when, as the vehicle becomes old, the old technology product requirement goes up. And therefore, when we supply that, you see the growth in the business. So this is always, it always happens like that. As the time passes, the lamps get replaced, the bulb technology, not the LED technology. And therefore, you see the growth in our replacement business.
Viraj: Okay, okay. And any update on the insurance, for the fire claim?
Management: So this is, we already informed, we already, submitted our claim, and this is under process.
Viraj: Okay, I'll come back in queue and thank you.
Moderator: Thank you. Next question is from the line of Jatin Chawla from RTL Investments, please proceed.

Jatin Chawla: Yes, hi, thanks for the opportunity. Just checking on the India PV side, did you say you received orders from three customers or was that RFQ?
Management: So we have orders total from three

customers and we have RFQ from another three customers.
So we will, in short time, we'll be working with six customers in OEM, including exports.
Jatin Chawla: Got it. And on the capex side, I don't know why you guys are calling this as a large capex, because it seems you're already spending INR80-INR85 crores every year. So this INR250 to INR300 crores is the same run rate. So it doesn't seem there is any big pickup in capex or, you know, you're not seeing kind of growth avenues to invest going forward. So just some understanding on that?
Management: No, so just our maintenance capex is more like INR40-INR45 crores. So we're just saying that over and above maintenance, there is some requirement, as we mentioned, there is requirement at those who plant, there could be requirement for 4-wheeler thing at some point in future. So given that this question has been asked of us, of our guidance, we are giving a number that we think is likely to happen.
Jatin Chawla: Got it. So this INR250-INR300 crores, what sort of asset turnover one can expect? What sort of, incremental revenue could come from this?
Management: Almost 3x is what we expect.
Jatin Chawla: And this hub motor capex that you're mentioning, will this be for beyond Gogoro or this is largely only to service Gogoro needs?

Management: This is as of now for Gogoro. Further on, once this overall facility will be ready for penetration, we will work together with Gogoro to cater this motor, hub motor and motor controller to other OEMs also.
Jatin Chawla: Got it. And this quarter, we have seen some pickup on Yamaha revenues as well. You know, last few quarters, the run rate was more around INR70 crores. We have seen this go up to more than INR80 crores. So any new models that have come in or this is just seasonality where the March quarter was strong?
Management: Yes, there are two models which has been launched during last year. This one is of Aerox 160 and other model is for export. So those models have given us positive growth and sales figure overall.
Jatin Chawla: And going forward, I think there were a few, another five, six models that were going to come. So should we expect that this run rate will continue to go up?
Management: Yes, of course. We are very much hopeful for this and we are working on that area.
Jatin Chawla: Got it. Just one last question. So Hero, I think you spoke about the fact that on the Harley side, there is quite a bit of traction, but beyond the Harley and in terms of some of the more mass market models for Hero, are we seeing any kind of orders coming for those as well?
Management: Yes, there will be a few models which are already being developed and might be next quarter if these models could be launched. And thereafter, we can give you the right picture which model is being launched and which, what all kind of product is being developed by us. But there are six, seven projects which are under pipeline under Hero model, mass models, as well as Hero Harley also.
Moderator: Thank you. Next question is from the line of Omkar Arora from Eraya Capital. Please proceed.
Omkar Arora: Hi, sir. Congratulations on a good set of numbers. I have a couple of questions regarding the long-term view of the company. So if we see the sales growth for the company over long-term last 8 to 10 years, we've grown at a CAGR of almost 11%.
And I understand that we have four major revenue streams going forward, which are the two-wheeler business where we are already catering where we provide lights and mirrors, LED lights within the two-wheeler segment, new revenue segment where we plan to cater to the four-wheeler segment, and new products under our JV with Gogoro. So my question is, what kind of growth do we expect in the next three to five years in each of these revenue streams?
Management: So let's look at organic business. So organic business is going

to be driven, of course, by the two-wheeler industry growth. We've highlighted that we have a leadership position there. We have a leadership position in the EV segment. We also have indirect exports. So to that extent, in the two-wheeler segment, we feel optimistic that the growth is coming back.
You mentioned last 10 years. Out of that, last five, six years have been very tough for the two-wheeler industry. So, A, the core organic growth should be stronger. We expect that given that

the two-wheeler industry will do well, we should do even better. We should definitely do 12% to 15% of organic growth.
Over and above that, there are several areas which we've highlighted, which we're looking at, including the motor business, including the four-wheeler business, and other opportunities that may arise. And I think we are preparing ourselves for those opportunities. So if you look at some of the parts between organic and other, we do expect our growth to be much better than what you have seen in the past. We have set ourselves some ambitious targets on that.
But some of them are binary and will depend on some of these outcomes, especially on the four-wheeler and hub motor. And you may have to be patient for a few quarters before they kick in.
Omkar Arora: Is there any kind of number that you can throw on the four-wheeler segment in particular? What kind of numbers do you expect to do in the next one year, two years, long term, five years or so?
Management: So, not at this moment. As you are aware, the incubation period for four-wheeler is literally long term. So we are already getting inroads into the customer. That is step one. I think by the end of this financial year, we will be ready with our proper business plan and we'll share the numbers with all of you.
Omkar Arora: What kind of margins do you expect in this segment, the four-wheeler?
Management: The four-wheeler segment has similar margins as two-wheelers. However, the value goes up because the price range is higher. So, you pay more on the absolute value and the margins remain similar.
Omkar Arora: Okay. But don't you think you face stiff competition in this segment as compared to the segment where you are leaders already?
Management: We are preparing accordingly.
Omkar Arora: And I have one last question. Can you also provide some details around the total capacity and the current cap utilization and the growth in the coming years? Can it be met by the current capacity or do we see more capacity coming up in the next few years apart from this financial year as well? So, if you can throw a timeline of capacity that you must have prepared?
Management: So, talking about the current capacity level, we are around 80% in the capacity. In our business, we have a good time for development and during the meantime of design and development, we also generate the capacity. So, capacity generation is not a big issue for us.
Moderator: Thank you. Next question is from the line of Varun Arora from B&K Securities. Please go ahead.
Varun Arora: Yes. Hi, sir. Thank you for the opportunity. So, just some clarifications I want. So, previously participant one asked, the growth you said 12% to 15%. So, that's the revenue growth you're expecting for the FY '25?
Management: Yes. Organic revenue growth.

Varun Arora: Organic revenue growth. Okay, sir. And just another thing on the PV Indian OEMs. So, you want to order and you said one project is under development out of the three customers. Is this the right understanding, sir?
Management: Sorry, can you repeat your question please?
Varun Arora: Basically, there are three customers you got the orders from the Indian OEMs, right, sir? And one project is under development, which will come out in the next three months?
Management: Yes. So, three customers, one is export t

o India at this moment and three additional is RFQ phase.
Varun Arora: Okay. And all projects are under development now? I mean, so...
Management: The order that we have, they are under development. And one product of Indian is shortly time, I think we should enter into SOP in next 3 months to 4 months.
Varun Arora: Okay, sir. Sir if I may ask you how big the order is for which you've got?
Management: So, this is a small order at this moment around INR10 crores annually approximately for a full calendar year, but it is more of a beginning to start with the customer.
Varun Arora: And you will start the execution in FY25 only I mean the INR10 crores we are estimating for FY25?
Management: In the current year we will start the SOP.
Varun Arora: And can we say the next year in FY26 this will grow by the double or triple I mean just need some guidance on that one for FY26?
Management: Naturally, this will grow. And there are adjacent products for which we are now issuing RFQ because we are developing this product. So, this product will get us more products also with the same customer.
Varun Arora: Okay, sir. And the last clarification I want on the Hero product pipeline. So, you said there are three products right now under the pipeline?

Management: No, there are seven products as of now under development. And three are on tooling side and another three is from designing side. So, total we have six products as of now.
And further on RFQs, we are working on the RFQs also.
Varun Arora: Okay, sir. That will be all from my side. Thank you for the question.
Moderator: Thank you. Next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead. Ms. Jyoti, your line is unmuted. Please go ahead.
Jyoti Singh: Yes, sorry. So, thank you for the opportunity. Sir, I just wanted to understand that the new product that we are working on that is called ambient mood lighting. So, if you are able to explain

how big is this opportunity and we already having a competition in this segment and along with that a few of the auto ancillary that is already working on it. So, how big the opportunity that we have and what are the target in that?
Management: And let me tell you, there is no very well organized broad organization today in the country who is serving this market because this is a growing market with a big potential. The ambient lighting or we call mood lighting in the cars. Especially all the new EVs have this feature. So, we are exploring this market in a very focused manner. We are getting very good response from the customer.
So, currently we are working on three RFQs on this because we already could manage to get RFQ from the customer and we hope to finalize at least one of them in this financial year and having done that it will lead to more such businesses. So, we see a high potential in this business and the scope can go up to in, let's say, 3 years to 5 years up to INR500 crores to INR1000 crores that is the kind of opportunity it has.
Jyoti Singh: Okay. And sir, another question on the premiumization side, like now there are a number of vehicles that is upcoming time more in the premium segment. So, how we are seeing the increased content per vehicle if you can explain on that side?
Management: So, the trend is, Jyoti, electronics is increasing in all vehicles. The content of electronics is going up exponentially in all the segments and both hardware and software. Related to this, cyber security content is also going up because data security is becoming more and more important and lighting as such is having a lot of electronics into this. So we expect the content to go up in future for all the lighting products.
Jyoti Singh: So, currently, sir, we have done any price hike?
Management: Say again, sorry.
Jyoti Singh: Currently, we have done any price hike in this quarter or we are planni

ng in the upcoming
quarter?
Management: Price rise. You are talking about the price hike?
Jyoti Singh: Yes.
Management: No pricing gets settled at the time of development and once the product is designed there is no change. It is then only the raw material change which is passed through and we get compensated by the customer product most of the customers not all, but most of the customers.
Jyoti Singh: Okay. Thank you so much, sir.
Moderator: Thank you. Thank you. Next question is from the line of Rahul Picha from Multi-Act PMS. Please proceed.
Akshat: Yes. Hi, this is Akshat here. First of all congratulations for a very good set of numbers. I had two questions. So, my first question is on the capacity utilization side in our organic business.

So, if you could just spell out what is the capacity utilization on an average across plants and how do we look at Brownfield expansion given there would be constraints which you said in the southern part of the country. So, that is number one. And I'll follow up with second question afterwards?
Management: So, about the current capacity utilization this is around 80% in the last quarter and your next question is about the capacity enhancement in the south units. We are doing that, yes we are investing over there.
Akshat: And so with all these PV orders and RFQs in hand as of now, so we've got already three PV orders which are in tooling and development stage and three over RFQ. So, while we understand that it will be like a starter for FY25, but from FY26 onwards what kind of a contribution do we expect from these PV orders to our overall revenue like do we say in that this could be like a 10% of revenue from FY26 onwards?

Management: So, I think it is too early to estimate this. And I think I had just shared a couple of minutes ago. By the end of this year, we will try to crystallize our plan for future. too early to estimate as of now on the forthcoming revenue.
Moderator: Thank you. Next question is from the line of Divyanshu Sachdeva, an individual investor. Please go ahead.
Divyanshu Sachdeva: Sir, I just have a very basic question. So is it possible for you to give some guidance or maybe some outlook on the two-wheeler industry going forward, maybe for the next year?
Management: We believe that if you look at the last five years, you will see that we are still not, you know, we are still below the peak that was hit in FY'19. So, there is no reason why two-wheeler industry should not grow and surpass that very soon. As you mentioned, the April numbers of the industry looked quite robust. So, double-digit growth is something that we definitely expect going forward, not just for the current quarter or two, but for the next couple of years. We see all the green shoots for the two-wheeler industry to do better.
Divyanshu Sachdeva: Okay. And is it possible for you to share some margin range in your mirror business? Maybe any basic range for that.
Management: Margin specifically for mirror business?
Divyanshu Sachdeva: Yes. Is it possible for you to give some range in that segment?
Management: The margin across the products are same because we are supplying to the same customers.
Divyanshu Sachdeva: Okay, sure. Thank you.
Moderator: Thank you. Next follow-up question is from the line of CA Garvit Goyal from Nvest Analysts Advisors LLP. Please go ahead.
CA Garvit Goyal: Hi. Thanks for the opportunity again. Just one question on the margin. Do we see any kind of improvement in margin in FY'25?

Management: So, we are already on 13% plus and we definitely would try to do our best about the improvement of the margin.
CA Garvit Goyal: Okay, sir. Thank you.
Moderator: Thank you. Next follow-up question is from the line of Viraj from SiMPL. Please proceed.
Viraj: Yes. Hi. Thanks for the opportunity. Just two or three questi

ons. One is on the PV part again.
You talked about three confirmed orders and then you have three RFQs. And then there's an export order which we announced last time. So, internally, what milestones you've been looking at before putting in or committing to a greenfield capex?
Management: Committing to a greenfield project?
Viraj: Capex.
Management: So at this moment, for this financial year, we do not see any greenfield investment for passenger vehicles. And honestly, I don't see next year also. Because going forward, we will be targeting one big order, which we anticipate in next financial year, which will lead us to set up a plant. But today, for next two years, we will not be investing in greenfield project for passenger vehicles.
Viraj: Sir, the existing orders, which we have got, largely be in niches or in the opportunity scale, they will be like sub INR50 crores or sub INR25 crores kind of opportunity scale?
Management: So, currently, they are niche orders. And this will be produced in our existing facilities only.
Viraj: Okay, got it. Second question was on the two-wheeler piece. If we look at the other customers, right, where we in the past have talked about EV players, you know, are the major contribution there. If you look at our top customers, like say Ola and few others, they've seen a very healthy ramp up in volume and that is continuing. But when I look at our other customer revenue base, it's largely been flat. So what explains the divergence?
Management: See, you're talking to the customer-wise business share slide, we shared in presentation , right?
Viraj: Yes, sir.
Management: So, see, we already shared this, our top five customers, it is already there. Rest all, you know, somebody is increasing, somebody is decreasing, but because our turnover is almost 10% growth. So because of that percentage that remains same in the range of 11%.
And if you see the total -- if you also see the total EV industry volumes from '23 to '24, the numbers are from 7 lakh-odd to 9.5 lakh EV. You are aware that because of various changes to FAME subsidy and all, there have been some challenges to a few customers. So for us, we've still grown this pie significantly and what Arvind highlighted, as a percentage, it may still look the same 11%. But as an absolute number, we have gained here.

Viraj: Okay, just two more. When you talked about six or seven projects for Hero, are all these new products or, you know, even for some of the existing brands, we will be looking to supply them?
Management: No, these are all new products.
Viraj: Okay. And last was on the Yamaha piece, recently they came up with a press release and they are moving some of the global models, platforms from ASEAN to India. So for us, you know, how should we understand the opportunity? Would we be the sole supplier or any color you can give there?
Management: Like recently, you have heard this Aerox 160, which is being launched not only for India, and we will be soon starting from here to Indonesia also. So all models, whatever is being concentrated right now from OEMs are to be made for Indian market as well as for global market also.
Viraj: No, my question was about existing product brands being moved, the production being moved from ASEAN to India. So in that sense, I was just trying to understand, would we be a beneficiary or…?
Management: Yes, we'll be doing and this has already been working like that already. Whatever products as of now is being made here is being exported to ASEAN countries too.
Viraj: Okay. Thank you.
Moderator: Next question is from the line of Ravi Purohit from Security Investment Management, Private Limited. Please go ahead.
Ravi Purohit: Hi, most of my questions have been answered. Just one broad question at the company level. I think we've discussed a lot of initiatives over the last six months on the call. We hit our initiative

with Gogoro, new business coming in from passenger vehicles, new RFQs for Hero, Harley.
And I think we've also mentioned today during the call that we are looking at 12% to 15% growth organically.
So, if you put all of these together what kind of number is the company like aspiring to do in terms of revenue in the next three to four years? Will it be like a difficult task for us to hit INR4,000 crores revenue in three years, four years time?
Management: See, we don't… We are very bullish.
Yes, I mean, there are many opportunities we've seen and we've kind of highlighted them. What are these opportunities? How are we working around them? But we don't want to give you a specific guidance number, but organically, nothing organic, there seems to be a large potential.
Ravi Purohit: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Yes, just one question, sir. As you said, the total EV volumes are 7 lakh to 9 lakh. If you have to understand the total size of the lighting, which the EV volumes would be corresponding to, what would be the total size? Would it be like approximately 100 crores? Or would it be still lower than 100 crores? The total size of lighting with the EV volumes would be corresponding to?
Management: I think the better way of looking at it is EV is right now 5% of the total industry at this point of time as well in terms of overall number. And I think taking one benchmark number will not be correct, whether the EV per EV content is 2000 or 3000 or 4000, because different EVs will be priced differently, especially as this number moves from 5% to higher number. So if you want to take a benchmark, you can take a 2000-3000 per vehicle. But that may not be the right way of looking at it because in future, you may have more premium EVs coming or less premium coming.
Nikhil: Correct. So I just wanted to understand what is the approximate size of lighting which EV is corresponding to today. I am not trying to do any extrapolation for future. But anyways, second question, based on the pipeline and RFQs you are finding in Hero, over the next 3-4 years, do you see Hero can come in, be one of our top 5 customers? Or would you say the pipeline does not give such a confidence?
Management: No, we are very much convinced about this and we will be working together with Hero, not only 7 projects, further projects are also in the pipeline. And we hope this overall customer range, Hero will be also on the top.
Nikhil: Okay, fine. Thanks a lot, sir.
Moderator: Thank you. Next question is from the line of Rohan Advant from Prad Capital. Please go ahead.
Rohan Advant: Yes, so thanks for the opportunity. Sir, I just wanted to clarify, when we say 12%-15% organic growth, what do you mean by organic? Is it just a two-wheeler business?
Management: Yes, it just means our basic current two-wheeler business and not the new business which may come significantly, whether it is Gogoro or whether it is the PV business, which we are

attempting.
Rohan Advant: Got it. Sir, and in one of your comments, you said that the ambient lighting opportunity could be a INR500 to INR1000 crores opportunity in a few years. So, can you elaborate on what that opportunity is and what are you doing as a company to address that?
Management: Yes, sure. See, each of the new cars which are coming in, they have this ambient lighting or what we call mood lighting. So, mood lighting has an electronic component also. There is a driver which is used to light up the interiors of the car. And this lighting goes not only on the four doors, but it also goes on the central console and the dashboard. And this overall package ranges from INR3,500 to INR8,000 to INR10,000. It's good content in a car. So, we are working aggressively with our customers to gain this opportunity.

Rohan Advant: Okay. And so there, do you have any disadvantage versus the incumbent or it's a new opportunity where you and the competitor would be equally competent to address?
Management: We do not have disadvantage. Rather, I would say we have advantage of the new technology that we are trying to introduce in ambient lighting. And that will be liked and promoted by our customers. So, we feel we are at an advantageous position in this business.
Rohan Advant: Got it, sir. Thanks for taking my question and all the best for the next quarters.
Moderator: We have our next follow-up question from the line of Jatin Chawla from RTL Investments. Please go ahead.
Jatin Chawla: Yes, thanks for the opportunity. Just a quick follow-up. For this ambient lighting, is this a technology that we have done or the technology has been developed internally by the company?
Management: So, we have developed internally and wherever required, we are taking support of one of our German agencies. Wherever required, we are taking its support. But it is developed internally by Fiem Group.
Jatin Chawla: Okay, got it. Thank you.
Moderator: Thank you. Next question is from the line of Manoj Shroff from Kivah. Please go ahead.
Manoj Shroff: Hi, sir. Thanks for the chance. Just two quick questions. One was for the 12%, 15% growth. What is the underlying two-wheeler OEM growth that we are assuming?
Management: 8% to 10%.
Manoj Shroff: And is that the OEM visibility that we have? They are asking us to prepare for so much?
Management: That is obviously the changes but this is the current outlook. So, we do expect this kind of a growth to come through over the next couple of years.
Manoj Shroff: Sir, and earlier we used to talk, and please correct me if I'm wrong, that automotive LED mix will improve and we have a higher margin there. Can you just talk a bit about that, that how the LED mix will improve and our margins will increase there?
Management: See, you are right. This LED, but the percentage of the total automotive lighting is increasing. As for last year, it was 52% in comparison to the FY'23, where it was 49%. And about the increasing trend here…
… Next 2 years, 3 years, it is going to touch 75%.
Manoj Shroff: And how much higher are the gross margins is sir?
Management: See, gross margins are the same because it is going to the same customers but the point is that it will be higher realisation.

Manoj Shroff: How much higher realisation, sir? I think you've spoken about it. Sorry, if you can just repeat?
Management: I think 2X or 3X, we are comparing with the conventional versus LED, as a realisation, not the higher margin you are referring to.
Manoj Shroff: Thank you so much.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sahil Sanghvi from Monarch Networth Capital for the closing comments.
Sahil Sanghvi: Just want to thank the management of Fiem Industries for very elaborately and patiently answering all the questions. Also, on behalf of Monarch Networth, we thank all the participants for joining the call. Jain sir, would you like to give any closing comments, please?
J.K. Jain: Yes, please. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you and have a good day.
Moderator: Thank you. On behalf of Monarch Networth Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

February 19, 2025
The Manager,
Dept. of Corporate Services
B S E Limited
25th Floor, P. J. Towers, Dalal Street,
Fort, Mumbai - 400 001
Dear Sir,
Sub: Q3FY25 Earning Call: Transcript.
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (referred herein as Listing Regulations).
An Earning Call was held on February 13, 2025 to discuss Operational and Financial performance of the Company for Q3FY25. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.
The web link of the above Transcript is as under:
Link: https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/
Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.
This is for your information and records please.
Yours faithfully
For Fiem Industries Limited
Arvind K. Chauhan
Company Secretary
Encls: A/a

Fiem Industries Limited
Q3 FY’25 Earnings Conference Call”
February 13, 2025

COMPANY MANAGEMENT
- MR. J.K. JAIN– CMD - MR. RAHUL JAIN – JMD
- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI– CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA– CFO
- OTHER FINANCE TEAM MEMBERS

HOSTED BY
MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Fiem Industries Limited Q3 FY '25 Earnings Conference Call, hosted by Monarch Networth Capital Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note, this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Sahil Sanghvi from Monarch Networth Capital. Thank you, and over to you, sir.
Sahil Sanghvi: Thank you. Good evening, everyone. On behalf of Monarch Networth Capital, I welcome you all to the Q3 FY '25 conference call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we'll open the floor for question and answers.
Now I'll hand over the call to Mr. J.K. Jain, Chairman and Managing Director of the company. Over to you, Jain sir.

J.K. Jain: Thank you. Good afternoon, and welcome to the Q3 FY '25 earnings call of Fiem Industries. Joining me on today's call are Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.

Our investor presentation and the results are now available on our website and the stock exchange. We trust that you must have reviewed the same. It gives me great pleasure to report that Fiem Industries has once again delivered an outstanding quarter, exceeding industry's benchmark and demonstrated the power of our strategic vision. Before going into our detailed results, let me briefly give an overview of the economy landscape.

The Indian economy remains on an impressive growth path with GDP expected to rise by 6.7% in FY '25. Further, the Finance Minister's historic move to give substantial relief of income tax to the middle class is likely to inject fresh momentum into the consumer demand, which will have direct positive impact on 2-wheeler industry.

Turning to the automobile sector. The 2-wheeler industry has maintained its robust momentum, growing by more than 10% in the first 9 months of FY '25. Rising rural income, robust demand from the urban market and the new model launches have driven this growth, solidifying the 2-wheeler industry's position as a growth driver in India. Fiem has been able to outperform the industry achieving 22% sale growth in Q3 FY'25.

During the quarter, Yamaha and Royal Enfield posted a strong performance driven by the new model launches. Yamaha launched [YZR 150cc and XTZ 250cc] for Brazil and European market. In line with the trend in automotive lighting industry, we are making significant

investment for strengthening our electronic capabilities in the area of advanced design software, electronic laboratory for EMI and EMC testing and validation. Further, we have also invested in the state-of-the-art electronic manufacturing facilities at our plants in North and South.

In addition, we are also expanding our R&D and design capabilities at our subsidiaries, FRT Italy and FIEM Japan. We continue to make our sincere effort in growing 4-wheeler business our first project of LED number plate of Mahindra & Mahindra has been approved for their 3XO, Thar, Scorpio and other models. Similarly, the second number plate is approved for the electric 3-wheelers Supro and Bolero model. Our ma

nufacturing facilities has now been approved by Mahindra & Mahindra and production is likely to commence from quarter first FY '26.

Moreover, we have received another order for a new project XUV700 refresh model. Further, we are currently working on many more RFQs, which are likely to be converted into the confirmed orders in FY '26. We continue to remain focussed on growing our business in 2-wheeler and 4-wheeler segment through the new product and the new technology introduction.

With this, I hand over to Mr. O.P. Gupta and the finance team to update on operational performance.

O. P. Gupta: Thank you, sir. Good afternoon to everyone. I am presenting quarter 3 numbers for FY '25 in comparison to the corresponding quarter of previous financial year. The company has registered sales of INR590.1 crores in Q3 of current financial year in comparison to INR483.11 crores in Q3 of FY '24, which is an increase of 22.15%.

The percentage of LED lighting within the total automotive lighting has increased to 61%. The EBITDA is higher at INR77.88 crores translating into an EBITDA margin of 13.2% as compared to an EBITDA of INR64.48 crores that is 13.35% in corresponding quarter of previous financial year. PAT has increased by 17.64% to INR47.41 crores as compared to INR40.30 crores in Q3 of FY '24. During the quarter, the company has made a capex of INR36.94 crores taking the total capex to INR108.78 crores for 9 months of FY '25.

With this, I end the financial brief, and now the floor is open for question and answers.

Moderator: The first question is from CA Garvit Goyal from Nvest Analytics.

Garvit Goyal: Actually, I was reading in business standards the commentary from CEO, Niranjan sir of Hero Moto that they are seeing a big rural jump over the next 4 to 8 quarters. So are we witnessing a sharp increase in or any such indication of increasing demand for our products based on whatever conversations happening with our end customers? And can we expect FY '26 to be at a higher growth than our historical growth rate of 20%, driven by the expected industry tailwinds, as you also mentioned in your opening remarks, sir. So that is my first question.

Management: Yes. So specifically, I don't know which comment are you referring to, but we have maintained that the 2-wheeler industry is on an upswing. FY '25 is going to be very robust, and we see no reason why the demand momentum should not continue into FY '26 as well. Both rural and the urban markets are showing positive.

Garvit Goyal: Understood. And first half -- first 9 months, basically, we reported a significant growth. So are you confident enough to maintain that Y-o-Y growth in Q4 as well?
Management: Yes, Growth momentum is on positive. We are seeing positive offshoots everywhere, and we should continue
Garvit Goyal: And lastly on the R&D initiatives and our 4-wheeler initiative, what are the progress happening on that side? And are we looking to increase our revenue in FY '26 to the total revenue from the 4-wheeler side? And what are the updates on the Gogoro side?
Management: There are many questions in there, but let's just first take the question on 4-wheeler.
Management: So… I am Vineet, I'll answer your question on 4-wheelers. See, as per our strategy, we are first finding entry points into 4-wheelers. Revenue is not our immediate target. And you would have heard in Chairman's speech, we already got presence in multiple models of Mahindra, which is as per our strategic plan. And now our plan is to move up the value chain and obtain orders for higher value. And then next step would be to translate to other customers. So revenue will follow, but we are following our strategy of FIEM Group to go step-by-step in this field.
Garvit Goyal: And on Gogoro front?
Management: Yes. So Gogoro is facing significant headwinds in the international market. I don't know if you h

ave picked up those comments. They have a lot of challenges that they are facing at global market, which is India strategy yet remains unclear and which is why we are not seeing any significant uptick from where we updated since last quarter. It is right now on pause.
Garvit Goyal: Until now, how much fund we have invested in that side?
Management: That is not a very big amount, and we don't have that figure handy. So that is -- we are just waiting for the Gogoro response on global team.
Moderator: The next question is from Jatin Chawla from RTL Investments.
Jatin Chawla: In the opening remarks, you spoke about some order for the XUV700 refresh. Is that also for the number plate? Or is that for some other lamp in the vehicle?
Management: No, it is not number plate. Number plate in any case will get commonized what we are developing. And this is for another product, but still small lamp. And -- but it is for a new forthcoming model.
Jatin Chawla: Got it. On the quarterly results side, just wanted to check on two things. One, when I look at the growth for Honda, that growth is on a Y-o-Y basis, 4%. I think Honda's production numbers, the growth was much higher. So is that some share loss? Or is this because some models of Honda where we are present are not doing well and some others are doing well? That's one. And secondly, on the replacement side, also, I see there is a double-digit decline Y-o-Y during this quarter. So what is driving that?

Management: So on Honda business, you're right, the growth is 4-odd percent versus 6% to 7%, which the Honda has grown. That is primarily driven by certain set of models there at Honda's end, which are doing -- which have taken uptick. There is no sort of change in our business model with them. Our business continues to be absolutely same. And Honda is already showing uptick in volumes as we speak now. The last quarter, there was also shutdown at Honda, which has impacted some volumes. The plant shut down from December 22 onwards. So that has also impacted their volumes.
Jatin Chawla: Got it. And on the replacement side?
Management: Yes. As in the last quarter also, it is being explained that now all the lamps is being converted from conventional to LED. So demand is, of course, reducing. And further on, we have the agreements with all the customers, whatever properties of customers like moulds and other things are available with us, to be used for their production. So this will be impacting quarter-on-quarter, plus or minus both.
Jatin Chawla: So broadly, directionally, we should expect this business to kind of go down going forward?
Management: We are working for some other models wherein we are not directly with the customers. Those things will definitely come in the replacement market that will give the boost to our replacement market sales too.
Moderator: Next question is from Ravi Purohit from Securities Investment Management.
Ravi Purohit: Congratulations on a good set of numbers. A couple of things. Generally, I wanted to understand, we've been speaking about various kind of ambient lighting and lighting per se themselves have also dramatically improved over the last few years on the newer vehicles. So if you could kind of just give some flavor, let's say, for example, 5 years back or 10 years back, in a typical SUV

or a typical sedan or hatchback, what would have been the cost of putting all the lightings within
inside of the car and head lamp and tail lamp and all those things?
And today, let's say, when we are looking at newer models from newer companies, like recently,
Mahindra had showcased their electric vehicles. Hyundai is in the process of launching a few.
Maruti has announced a few. So we see a lot of lights in these newer vehicles. So how does kind
of the addressable market or the lighting spend per vehicle on an average change between what
it was 3 years back, 5 y

ears back and what it is today and what it will be in the next 5 years?
Management: That's a very, very broad question. I think we need to spend a lot of time on that, but give you a
broad sense -- let's say, 20 years back, a lamp of the minimum, let's say, 800cc model used to
cost around INR700, INR800, right? Our typical lamp of LED today would cost around
INR8,000 to INR10,000. So that is a big change that has happened in the industry.
The overall market, which was approximately INR2,600 crores now is around INR8,000 crores
to INR10,000 crores market just for exterior lamps. But the interior lamps and MEL lighting are
also getting added. So the overall market potential of lighting only in India is going to around
INR10,000 crores to INR15,000 crores in the future.

So there's a lot of work to be done, you are right. And we at FIEM are working on all these
technologies. We are also developing some proof of concept with some of the OEMs, which I
can't disclose now on several new technologies. So we are absolutely abreast of what is
happening in technology in lighting, and we are working closely with certain OEMs to bring this
technology in India.
Ravi Purohit: If you could just give like a ballpark, let's say, the Mahindra showcase of the 2 new electric cars
that they did, right? What in your guess would be the total spend of lighting in that model, right?
If those models are selling at INR30 lakhs or INR35 lakhs, would lighting be INR50,000 worth
inside or outside both put together?
Management: No, no. This is out of the scope of my purview to give the answer because there's a competitive
product. I don't think it is right for me to give the numbers on this subject. We are not supplying
them. It is the competition. So it won't be correct on my part to give you any numbers.
Ravi Purohit: Lighting in addition to the existing light would increase our substantially going forward. And
we already have products and all the ability to be able to service this upcoming demand in the
next 3 to 5 years?
Management: So there is a strategy that FIEM has. And as we said, we want to follow a robust strategy, which
is a step-by-step manner. You cannot address the whole market immediately. It will be incorrect.
So we have a planned strategy, focused customer with whom we are working. And gradually,
we will expand our base because we are increasing our spending, as you would have heard in
the Chairman's speech on R&D. We are focusing a lot on electronics. And these are the future
things which will help us in growing our market share in India.
Ravi Purohit: And second, we had this tie-up with Gogoro and we were kind of getting tech transfer on the
motors and the other parts. Now what happens to that? What happens to the money that we've
spent? What happens to the tech transfer that is coming in from there? Are we allowed to kind
of use only for Gogoro or can we kind of absorb technology and offer products to OEMs also?
So if you could just give an update on what is happening with the tie-up with Gogoro, how much
money has been spent? And what does the future look like?
Management: So okay. So let me answer that. First, on the money part, the money is kind of insignificant. It's
under INR10 crores. So it's a very small number that also is reimbursable. So frankly, that is not
the challenge. As you rightly pointed out, what we were hoping for was the technology transfer
to happen fast and we could go to the market to other customers as well.
That process is as of now at pause, as we said, because of the global challenges. We expect that
technology transfer to happen that should happen in the next couple of quarters. It might get
delayed. However, it is kind of clear that Gogoro may not be pursuing the Indian market so
heavily.So we do not expect too much volume out of that. But if the tech transfer happens, then
that would help us attac

k this segment in a different manner. But that remains to be seen how it
will be played out over the next 2 quarters. At this point in time, it is on pause.
Moderator: The next question is from Hitesh Goel from Riddhish Advisors.

Hitesh Goel: Congratulations on very good set of results. My first question is on the 4-wheeler business. Can you give us some sense what is the kind of content per vehicle right now you are envisaging in the 4-wheeler segment, especially Mahindra because we've got a lot of these models versus, say, content that you have in Honda or TVS just for us to get a sense how 4-wheeler business will move.
Management: Yes. Thank you, Hitesh. I've understood your question. See, as of now, as I said, this is a very small lamp. Our strategy is to make our presence in every model. And the best way to enter into every model is to get into some lamp, which is common, which we have done, right? So the content today is insignificant. And therefore, we are not chasing revenue as of now. We are chasing our presence in various models because that will open bigger markets for us in the future. So that is the plan.
Hitesh Goel: So Vineet, any guidance you can give us, say, 5 years' time, what can be the revenue share of the 4-wheeler or your vision? Maybe your vision -- say today, it is only 3%.
Management: So as I had spoken in the last conference also, we have not documented and we have not planned revenue as of now. I had requested for 1 more year to bring in our strategy paper because our presence is maturing, and we are getting good responses from our customers. Even the traction on new technology is good. Now it is difficult to quantify at this moment. We will do it at the appropriate time and share it with you.
Hitesh Goel: Okay. Great. And my second question is on Hero MotoCorp. You talked about 6 models that you are working on with Hero for development. So any updates on that? When will we see a meaningful revenue from Hero for FIEM?
Management: Yes. We are just waiting for the products to be ready for mass production. We are just waiting for the launches, which are being announced by customers. And thereafter, we can start and we can declare in our subsequent quarters.
Hitesh Goel: But what can be the size of a Hero? I mean, in that sense, will it become, say, 10% of revenue in 2 years' time? Any sense you can give us?
Management: Yes. This will be very difficult as of now because volumes are always decided by the customer. Sales and others will definitely come out with once the customer will launche and customers will declare their numbers.
Management: And these are right now new models. So it's tough to say in terms of acceptance of these new models, how quickly they will scale up. But over 3 to 4 years. .. We are working for more than 10%...Yes, we are working on that.
Hitesh Goel: Okay. And my final question is on margins. Basically, we are seeing a consistent increase in LED ratio, right, in the lighting business and even in entry-level now customers are putting LED lights. So just wanted to get a sense of margins because gross margins haven't moved much, if you look at gross margin will remain in the same. Margins in LED gross margin...Sorry, go ahead

Management: We have kind of clarified in the past as well that there is a gradual turn towards LED, which you can see it's now basically 60%. However, our margins, whether it is LED or conventional are broadly in the same range [inaudible 0:23:56]. As for the volumes and operating level, that has already increased, yes
Moderator: Next question is from Khush Nahar from Electrum PMS.
Khush Nahar: So a couple of questions from my side. So first is, could you elaborate more on what led such strong growth of 21% in quarter 3 because usually from other auto players, we hear that quarter 3 is usually

a weaker quarter in terms of post festive and some shutdowns happen. And consequently, the new order wins that we have won, how much is the LED portion? And my second question is on the capex plan that we have over the next 3 years.
Management: Okay. So the Q3, you're right. Q3 industry has grown well in volume terms, if you see Q3 has been 8% growth for the industry. We have outperformed because of our overall mix. We kind of highlighted that some of our customers, notably Yamaha, Royal Enfield and several others did much better than these numbers. So all of this together helped us beat this industry number, and we have grown more than 20% close to 22.2%.
And as far as your other question, LED is concerned, yes, that has increased from 57% to 61% for the current quarter, and we think that this number will keep inching upward as new models are been introduced new models, all of them are mostly LED and hence, LED number will constantly increase.
And your final question was on capex. Now we had guided for INR125 crores to INR150 crores of capex. We've already spent INR108 crores for 9 months already. Another INR25-odd crores would be sort of spent in Jan to March. So that -- so we are broadly in that range for the current year. And for the next year, the number could be anywhere from INR75 crores to INR100 crores

additional.
Khush Nahar: So as of now also, we are not planning to spend in terms of a new 4-wheel plant?
Management: No, this does not include any new greenfield 4-wheeler plant. This includes the normal capex, which takes care of the current requirement of the 4-wheeler.
Khush Nahar: So could you help me with the cash number then, the cash on books as on date?
Management: This is INR217 crores.
Moderator: Next question is from Viraj from SIMPL.
Viraj: Yes. So just a couple of questions. First is, if you look at the sales figure for the supplies to Royal Enfield, a quarter or 2 back, we talked about us bagging order for Classic. So if you kind of adjust for that, you've probably not seen a full ramp-up for that -- for supplies to Royal Enfield. So would that be a right assessment?
Management: Sorry, can you come again? Your voice is not clear. Just go a little distance from the mic please. Your muffled voice is coming.

Viraj: Am I audible now?
Management: Okay, better.
Viraj: Yes. I was asking if I look at the supplies to sales to Royal Enfield, given that we have bagged an order from -- for the Classic and we are a sole supplier there, one would think the ramp-up would be much faster in terms of supplies to Royal Enfield. So just trying to understand what is driving -- why the ramp-up seems to be a little softer?
Management: Why would you say softer? If you see Q-on-Q, year-on-year increase for Royal Enfield, we are almost like up 100% over last year.
Viraj: Okay. Because if we map out the quarterly production numbers and the unit realizations, usually one would see a typical sales addition of INR20-odd crores on a quarterly basis. So hence, I was just trying to understand if the ramp-up...
Management: It's more like INR30 crores for Royal Enfield, which is a significantly higher number than last year.
Viraj: Okay. Second is in terms of Yamaha, can you just give some more color what has driven the growth there? Is it more export driven? Is it more domestic launches? And how should one understand the run rate there?
Management: See, as already our Chairman has already announced there 2 models which has given us export volume that is for Brazil and Europe. And simultaneously, the domestic market is also growing, which is together with us.
Viraj: Okay. So in the past, we used to talk about us working on 6 to 8 new model platforms for Yamaha, both globally and India. So how is the pipeline looking now?
Management: Yes. As of now, we are on the same track. We are as of now also having 8 new models, which are

for domestic as well as for export market.
Viraj: Okay. Second question was on the PV. In the earlier conversation, you talked about us working on electronics, further making investments and also working on. So can you elaborate a bit more what exactly we are doing there? And an added question is, in the past few calls, we talked about us looking at or having tie-ups with -- for different technologies. So is that largely for the Indian market or there is an opportunity for us to look from an export point of view also with those partners?
Management: So I will address this. Your first question is on electronics. Yes, electronic is required not only for 4-wheeler, but also for 2-wheeler because both the products in segments are going electronics.
So FIEM as a group is strengthening the electronic capability in-house, all in design software, validation, setting up EMI, EMC and setting up a good manufacturing facility with the latest equipment. So that is a process, which is not only going to help 2-wheeler, but also 4-wheelers as a business. We are still working with our technology partners and all this development is

focused on India market. So while we are absolutely open for exports, but our focus today is for India market.
Viraj: Okay. Just one follow-up. You talked about electronics. Now if you look at for 2-wheeler lighting also, I think we were one of the earliest players when it came to setting up the SMT lines and having that backward integration. So when you say further than electronics, what is further backward integration we are doing there, either for 2-wheeler and 4-wheeler?

Management: See, the whole outlook of electronic is changing. It is not only simple electronic. Now electronic is coming with AUTOSAR, CAN and LIN arrangements, connectivity within the 2-wheeler with the ECU. So a lot of things are changing in electronics. It is not very simple. Software is getting embedded into hardwares. So software, firmware, hardware, everything is required in modern products. So this is something which needs to be upgraded by the organization. And we are again taking early mover advantage by taking some actions now.
Viraj: Okay. So in terms of capex, I think what you said is we are looking at spending close to INR100-odd crores this year, correct me. Now if I look at the cash balance as of September end, we were close to INR220-odd crores in terms of cash balance. Now even in the end of the December quarter, we're still around the same balance. So is it because of -- I mean, is the working capital increase, is there any significant increase in working capital? Or how should one understand this?
Management: So is your question around the end use of this?
Viraj: So my question is, if I look at September cash balance, it's still around INR230 crores, INR220-odd crores. And as of December, it is still around similar levels.
Management: Yes, your observation is correct. The cash balance is almost same. There are basically 2 big reasons. One is the dividend payout that has happened in the same quarter. And whatever is the additional capex we are doing, this is all from internal accruals. So the balance remains same.
Moderator: Next question is from Mohammed Patel from Care Portfolio Managers.
Mohammed Patel: My first question is…
Management: Your voice is not clear.
Mohammed Patel: Is it better now?
Management: There is lot of back ground noise.
Mohammed Patel: Is it better now?
Management: Okay. Much better.
Mohammed Patel: Currently, we are servicing the PV market with the help of our current existing lines and plant and machinery. So going forward, would we be requiring new assembly lines and plants for ramp-up of the PV products?

Management: Yes. PV products, like any other products, new lines are required. Same lines cannot be used. So whatever product

s we are doing and will do will require investment in assembly lines.
Mohammed Patel: Like what would be the estimated capex just an estimate if you have to give?
Management: So the capex figure given you just now includes investment of 4-wheeler and 2-wheeler both. There is only a marginal investment in 4-wheeler as of now. Any significant investment will be informed to the investors.
Mohammed Patel: And last question was, basically, I'm sorry if I'm repeating the question. So for Gogoro, as you said we have only spent like INR10 crores for the investment. But have you put any plan for the Gogoro is it remaining or what have we done in terms of investment for Gogoro?
Management: Let me try and understand because it's difficult to follow your some noise. Did you ask what is our investment in Gogoro?
Mohammed Patel: Yes, sir. Have you put up a plant?
Management: As I said, it is under INR10 crores in single digit and that's why it's not a material figure. And plus these are all investments which are returnable from Gogoro. These are part of the agreement with them.
Mohammed Patel: Okay. So we have not invested any major asset for Gogoro currently?
Management: No. There's nothing beyond this.
Moderator: The next question is from Shubh from RatnaTraya Capital.
Shubh: Sir, you used to share wallet share data for different OEMs. If that is available, can you share, please?
Management: So we shared up to last year only… last 2, 3 years we shared. But as of now, we don't have that figure because that is a lot of information we got from the OEM as well. So we don't have that data for the current year.
Management: We'll be able to perhaps put it together as part of the annual results. Estimated number on quarter is difficult, but we try for the annual exercise.
Shubh: Understood. No problem. Also, is there any update on the fire money reimbursement?
Management: You are talking about the insurance?
Shubh: Insurance, yes.
Management: Okay. So that is already in the process. INR30 crores is already received in the month of September.
Shubh: Right. Understood. And nothing above that as of now, right?

Management: That is -- I just informed this is under final process of...
Management: Nothing is received further. We have not received anything.
Moderator: Next question is from Khush Nahar from Electrum PMS.
Khush Nahar: Am I audible now?
Management: Yes.
Khush Nahar: I just wanted an update on the 4-wheeler European OEM to whom we were supplying approval stages were going on over there. So any update on that?
Management: Yes, it's a good question. We have last week submitted our final samples to them. It has just reached them yesterday and with our complete detailed report, all parts from our side are okay. So we have sent the final samples, and that will go to customer next week, and then the process will start. So this is moving as per the plan.
Moderator: Next question is from Saurabh from Multi-Act.
Akshat: I'm Akshat from Multi-Act. So my question was mainly on Yamaha. So I wanted to understand and get a clarification as to this light that we are supplying, if we are supplying to Yamaha India and whether they are exporting the light as it is or they are making a entire motorcycle and exporting it?
Management: No. We are sending the lights to Yamaha India and Yamaha India is sending these lights to outside countries. And vehicle assemblies will be at MBK as well as in Brazil Yamaha.
Akshat: And this is mainly for the YBR 150 model, right?
Management: These are the two models which is being explained to you. This is models FZ 150, YBR 150 and XTZ 250cc.
Akshat: And my next question was mainly on Hero. So we've been working on around 6 to 8 model of Heroes for a long time. So just wanted to understand if you've got any idea of the launch pipeline of those models from Hero and what could be our estimated SOP for those models.

Management: It is 3 models, upcoming models are being validated and QAV is being done by customers. Now just we are waiting for the launch and ramp-up plan. And thereafter, we will explain you and we will give you the overall details.
Akshat: And sir, any other significant model wins in the Q3, which you would like to highlight because we've not highlighted in the opening remarks.
Management: Q3 was, of course, a year-ending quarter. So it is all will be launched in the new year whenever you go for a January. So there are a few models which is being launched by the other customers during this quarter. So we will explain you these models during next call.

Moderator: Next question is from Prashant Kothari from Stock Market REIT.
Prashant Kothari: I wanted to ask about the Mercedes-Benz project. What is the SOP for that?
Management: So as we had informed, we are doing the low-volume development project for Mercedes. So first 2 projects are already complete and delivered to Mercedes. Third project is on, and that is also moving as per plan.
Prashant Kothari: Okay. And about the Gogoro project, have you initiated any discussion with the other EV OEMs to commercialize this?
Management: No, we just explained that there is the transfer of technology process is pending. And once that is completed, only then can we start that discussion with other OEMs.
Moderator: Next question is from Mehul Panjwani from 40 cents.
Mehul Panjwani: I'm recently tracking your company. So I just want to understand, I got to know from earlier question that there was some fire for which we have got insurance. So when was the fire, sir, which period of the year? And was it in this financial year?
Management: Okay. So this fire happened on 13th of June 2023. And as I informed, one ad-hoc payment we already received INR30 crores in the month of September last year. And rest of the things are under process.
Mehul Panjwani: And one more follow-up question, sir. So was there any operational impact during that period?
Management: No, we timely intimated to the stock exchange also. This production was resumed within 3 days and all things are now in the original reinstated stage.
Moderator: Next question is from Shubham Sehgal from Skill Ventures.
Shubham Sehgal: So my question is about the new technologies. So if we see in our annual report, we had mentioned about 4 technologies mainly ambient lighting, laser, capacitive cuts, and microlens array. And we also mentioned that we've been working with our technology partners and we have signed MOUs with them. So I just wanted to ask like how far are we with these

technologies? Like could we see them materializing in maybe 1, 2 years going forward? So like could you give some color about these and like any technology that we have got any proof of concept that you are working on?
Management: Yes, sure. So as I said, this initiative of ours and new technology is quite well appreciated by our customers. And we did the technology show, and we are quite deeply engaged with our customers. So currently, with 2 customers, we are working on proof of concept.
And one of the technology has got more traction, and we will be shortly receiving a statement of requirement and RFQ from one of the customers, and that is a result of all the hard work we have done in last 1.5 years on technology. And once we work on that RFQ, then we are likely to get that business deal. So this is a step-by-step process, and we are quite engaged with the customer in bringing good results for FIEM Group.

Shubham Sehgal: Okay. And I'm assuming this would be a domestic customer that you're working with?
Management: See, we are working with Indian customers. That is our focus.
Shubham Sehgal: But my question here is that why aren't we targeting like international customers? Like don't you think like the acceptance rate could be higher and we could get more orders there?
Management: No, it is not the wish. As we said, we are a conservative organization moving in robust planned step-by-step process. We don't want to jump. First, we will establish ourselves in Indian market.
We will establish a good quality, and then we will approach international market.
Moderator: Next question is from CA Garvit Goyal from Nvest Analytics.
Garvit Goyal: Just want to know like what is the anticipated margin profile in the upcoming quarters? Like in June quarter, we did around 14% and since then we are doing 13%. So is it the sustainable kind of margin guidance we will guide for future as well? Or are we looking to further improve the margin?
Management: We don't give quarter-by-quarter margin guidance. We've kind of said that we ideally like to work in a band of around 13%, 13.5%, but we don't give any other specific guidance, especially quarter-over-quarter. This is what our intent would be over the next couple of years.
Moderator: Next question is from Prashant Kothari from Stock Market REIT.
Prashant Kothari: Yes. Just a follow-up. With the recent fluctuations in the raw material cost, particularly for plastic and electronic components, are we handling -- how are we handling the price pass-throughs with the OEM? And has there been any delays or pushback in passing on the cost increase?
Management: There is a very defined process in terms of handling these sometimes escalation or changes that happen because we have to work very, very closely with OEM on every component. Everything is transparent. So as we've explained in the past also, ours is a pass-through process, any changes is pass through on a quarterly basis. So any impact on any changes will come through discussions with OEM on a quarterly basis. It is a process which will happen. So no impact on any of the -- any changes that may happen in raw material.
Moderator: Next question is from Khush Nahar from Electrum PMS.
Khush Nahar: So just one question I had, any kind of guidance that you would like to give in terms of revenue for the next 3 years?
Management: We don't give any specific guidance. What we like to maintain that we will be …
Management: … We are very optimistic and we hope as the things are going well in the auto sector. So we hope good improvement.
Khush Nahar: So any kind of range 15% to 20%, maybe one point industry is growing by X, what are we targeting?

Management: We've always done better than industry and 15% to 20% is something that we definitely would like to get to, definitely not less than that. But again, as we said, we don't give a specific number.
Khush Nahar: Right. So when can we expect 4-wheeler to contribute significantly, say, around 10% of our top line? When is that possible in which year?
Management: So as I said that we will be coming out with the crystallized numbers after our strategy in entry at OEM is done, which will take a year, and we will definitely present our business plan because currently, we are not focusing on revenue. We are focusing on entry and then we are going to focus on increasing our revenues. So we will be sharing that with you at appropriate time.
Moderator: Next question is from Ankur Shah from Quasar Capital.
Ankur Shah: Congrats on great set of numbers. Sir, just one question on the margin. Sir, like with the 22%

top line growth, we would have expected some operational leverage to materialize on the bottom line. And yes, sir, so is there some reinvestment which is taking up the extra margins? Because last call, I think you all called out that the factories are running at 80% capacity. So in any manufacturing setup, the last 20% is the most profitable. So like why are the margins staying where they are?
Management: So here is the synopsis of how we look at our business. And as we explained whether from

a
product-wise, one of the driver has been LED also. As you see, the growth is coming from the transmission from conventional to LED. That is also one of the important driver of growth. And whether it's LED or conventional, the margins are broadly same at customer level. So while I appreciate what you're saying on operating leverage. However, this is the broad number that we'll operate.
Ankur Shah: So is it that if we reach a particular customer volume, is it that the customer will ask for repricing because that is the only thought which comes to my mind.
Management: Yes. So we are in a super competitive environment where customer always want lower price… it is never that the customer will not want a lower price. See a lot depends on product mix also. One of the customer goes down, other customer goes up. So margin is complex, and you cannot relate directly that if the sale has gone up, margins will go up. What product mix is there, that is very important. And I can give you example, Ola was doing, for example, 50,000 a month, which is now 25,000. So margins would change. So the product mix is important.
And also, if you look at Q-on-Q from Q2 to Q3, our sales are actually marginally lower only from Q2, but our margins are better, so it's not just a function. You are right in an environment where there's increasing sales, there should be more, but there are many other things that you will need to kind of factor, including what Vineet mentioned around product mix.
Moderator: That was the last question in queue. I would now like to hand the conference back to Mr. Sahil Sanghvi for closing comments.

Sahil Sanghvi: Yes. I just wanted to thank all the participants for joining the call and also thanks to the management for very elaborately answering all the questions. Jain sir, would you like to give any closing comments, please.
J.K. Jain: Yes, please. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you, and have a good evening. Thank you.
Sahil Sanghvi: Thank you.
Moderator: Thank you very much. On behalf of Monarch Networth Capital, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

Call: Jun 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

November 17, 2025
The Manager,
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[BSE Code: 532768] The Manager,
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Dear Sir,
Sub: Q2FY26 Earning Call: Transcript.
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (referred herein as Listing Regulations).
An Earning Call was held on November 13, 2025, to discuss Operational and Financial performance of the Company for Q2FY26. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.
The web link of the above Transcript is as under:
Link:https://■emindustries.com/analyst-meet-audio-recording-written-transcript/
Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.
This is for your information and records please.
Yours faithfully
For Fiem Industries Limited
Arvind K. Chauhan
Company Secretary
Fiem Industries Limited
Q2FY'26 Earnings Conference Call
November 13, 2025
COMPANY MANAGEMENT
-MR.J.K. JAIN–CMD
-MR. RAJESH SHARMA –JMD - MR.VINEET SAHNI –CEO &DIRECTOR
-MR. ARVIND CHAUHAN –CS - MR.O.P. GUPTA –CFO
- OTHER FINANCE TEAM MEMBERS
HOSTED BY
MR.SAHIL SANGHVI –MONARCH NETWORTH CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Fiem Industries Limited Q2 and H1 FY '26 Earnings Conference Call, hosted by Monarch Networth Capital Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
I now hand the conference over to Mr. Sahil Sanghvi from Monarch Networth Capital Limited. Thank you, and over to you, sir.
Sahil Sanghvi: Thank you, Iqra. Good evening, everyone. On behalf of Monarch Networth Capital, I welcome you all to the Q2 FY '26 conference call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company and then open the floor for question and answers.
Now I'll hand over the call to Mr. J.K. Jain, Chairman and Managing Director of the company. Over to you, sir.
J.K. Jain: Thank you. Good afternoon, and welcome to the Q2 FY '26 earnings call of the Fiem Industries Limited. Joining me on today's call are Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.
Our investor presentation and results are now available on our website and the stock exchange. We trust you must have reviewed the same. The Indian economy has continued its upward

momentum in Q2 FY '26 with a strong growth. GDP during this quarter is expected to grow at 7.2%. The government's recent GST reduction has provided a timely economic stimulus boosting affordability and confidence across sectors. This positive sentiment has clearly carried through to the auto sector, particularly the 2-wheeler industry.

The 2-wheeler industry recorded robust growth with domestic production volume growing by 10.6% to 6.9 million units. Rural markets have shown solid recovery after a good monsoon, while urban demand has remained strong. Against this backdrop, Fiem has been able to post a very strong performance for Q2 FY '26.

We posted highest ever quarter sale of INR711 crores, which is a 17% increase on a year-on-year basis. Our PAT is the highest ever at INR64 crores. This growth was fueled by very strong demand from our key OEM customers like TVS, Royal Enfield and Yamaha. This quarter, we supported several significant new models launches that highlights our technological capabilities. The refresh Hero Glamour X 125 was launched with Fiem Projector headlamp. Additionally, supplies has also started for Winker lamp for Hero Glamour and Xtreme models. We are also pleased to inform that during the recent Milan show, TVS Norton has launched 2 of their models

with Fiem headlamps and taillamp, featuring advanced animation and CAN based system technology. Similarly, Yamaha showcased its new Tracer 7 in Milan equipped with our headlamp and position light.

In India, Yamaha has introduced XSR 155 and their first EV model, both featuring LED headlamps and taillamps from Fiem. This in-house development demonstrates our strength in combining high-technology lighting, electronics and volume manufacturing, positioning us well for the rest of the year.

Our journey into the 4-wheeler segment continues with full vigor. Based on our quality and delivery performance, Mahindra has adopted our number plate lamps in their Scorpio and Thar models. We have also commenced our supplies for RR

and Fog for XUV700 refresh model. We
are happy to inform that we have been awarded the following new businesses from Mahindra, high-mounted stop lamp for Bolero, high-mounted stop lamp for Scorpio, RR and Fog lamp for Scorpio, side repeater lamp for Bolero series.

As we move into the second half of this year, we remain confident about the industry's growth path. With a heavy order book, improving efficiency and continued focus on technology and quality, we are well positioned to deliver another strong performance in the coming years. With this, I hand over to Mr. O.P. Gupta and the finance team to update on operational performance.

OP Gupta: Thank you, sir. Good afternoon to everyone. First, I will present the quarter 2 numbers for FY26 in comparison to the corresponding quarter of previous financial year. The company has registered sales of INR711.42 crores in Q2 of current financial year against INR607.45 crores in corresponding quarter of previous financial year, which is an increase of 17.12%. LED as a percentage of total lighting stands at 63.92%.

The EBITDA stand at INR99.1 crores, translated into an EBITDA margin of 13.93% as compared to an EBITDA of INR80.27 crores that is 13.21% in corresponding quarter of previous financial year. PAT for quarter 2 is INR63.78 crores as compared to INR49.83 crores correspond quarter of previous financial year, which is higher by 28.02%.

Now, I would like to present the H1 numbers for FY '25. The company has registered sales of INR1,360.49 crores in first half of current financial year as against INR1,181.05 crores in the corresponding period of previous year, which is an increase of 15.19%. The EBITDA in first half of current financial year stand at INR186.46 crores translating into an EBITDA margin of 13.7% as compared to an EBITDA of INR159.04 at margin of 13.47% in corresponding period of previous year.

PAT for first half of current financial year is INR119.84 crores as against INR99.03 crores in the corresponding period of previous financial year, which is higher by 21.01%. During the quarter 2, the company has made a capex of INR21.28 crores and total capex in the first half of current financial year is INR37.81 crores.

With this, I end the financial brief and now the floor is open for question-and-answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shubham Sehgal from SiMPL. Please go ahead. Shubham your line is unmuted, please go ahead.

Shubham Sehgal: Okay. So the provision reversal that we have taken for bad debt and warranties?

Management: Sorry, can you repeat your question?

Shubham Sehgal: Yes. My first question was, could you just throw some light on the provision reversal that you have taken for bad debt and warranties?

Management: No, I think your voice is not clear. It is breaking in between.
Shubham Sehgal: Is it better now?
Management: Yes, but it is breaking even though it is breaking. Can you just repeat once again loudly?
Shubham Sehgal: Yes, sure. So I was asking my first question is, could you throw some light on the provision reversal that you have taken for bad debt and warranties?
Management: Your question is -- you are referring the balance sheet item?
Shubham Sehgal: Yes. So we have taken a provision reversal for bad debt and warranties. So I just wanted to ask like could you throw some color on that?
Management: Yes. So in normal course, small numbers for provision we take sometimes, but then if there are no bad debt, then those are reversed back. So which is why you must see that number, it must be around INR2.5 crores, INR3 crores. So there was no bad debt. For that, it was recoverable and hence it was reversed.
Shubham Sehgal: Okay. Got it. My next question was that if we see in the previous four, five quarters, we've seen a very significant growth in sales for Royal Enfi

eld. And even if we look at their production numbers compared to their production, we've significantly outperformed the sales figure. So I just wanted to know that how do we see this panning out as RE contributes now 6% of the sales. So do we see this figure being stable or increasing with time?
Management: Yes. We have been taken the classic model lamps business and wherein our share of business is more than 90% and we are very bullish to have a similar kind of growth with the RE as of now.
Shubham Sehgal: Okay. So I meant to ask that right now, Royal Enfield contributes around 6% to our sales. So do we see this figure being stable here or do we see this contribution increasing or are we expecting more orders in new models, newer models or more share?
Management: We expect that there could be an uptick on this 6% going forward.
Shubham Sehgal: I'm really sorry. Could you just repeat?

Management: There could be an uptick on the 6% -- right now, as you rightly mentioned is 6%. We think given the volumes that are coming through and new models, it could increase.
Shubham Sehgal: Okay. And are there like any models in the pipeline or like are we being considered for any other models where we can get more share?
Management: Yes, there are two or three models as of now under development and designing stage. So those models will be launched in the coming years.
Shubham Sehgal: Okay. All right. My next question was, could you provide any update on newer technologies that we've been working on? And when can we see any of them getting monetized like is it like a 1-year or 2-year thing or could it take around 4-year to 5 years? How do we see them panning out?
Management: See one of the examples right now, as our CMD sir has already announced, TVS Norton has launched in Milan show. This technology is also being a new technology, which is being first time launched in 2-wheeler, especially the animation factors in headlamp and rear lamp, which is being run with the CAN software. So this kind of technology is first time being introduced by Fiem in 2-wheeler business.
Shubham Sehgal: Okay. And so these will be there for TVS Norton models in Europe. And I think TVS is going to launch Norton next year in India as well. So we will be catering to that as well?
Management: Yes. This will be -- there are two models, which will be for India as well as for global overall market.
Shubham Sehgal: Okay. All right. Got it. And like how do we see this panning out like do we see some significant upside here?
Management: Yes, of course, there are further models which are under development right now. It is not only one animation. There are a few other technology which will be introduced soon in coming months it is being launched or once it is being commenced by the customer.
Shubham Sehgal: So we are the sole providers, right? And I mean we see that for a longer time being here?
Management: Exactly.
Shubham Sehgal: Okay. All right. I will just join back in the queue I have a few more questions. I will let others also ask. Thank you.
Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Hi, sir. Thank you for taking my questions. Sir, the first question was regarding the provision which we have made regarding the inventory write-off related to the fire incident. So have we recorded to the P&L as well and is this in which line item it has been recorded?
Management: So just to clarify, there is a damage of inventory of INR21 crores and to the fixed asset INR28 crores. So the P&L you are referring actually, this entry has to first debit the P&L account. And

then because we have an insurance policy that is fully valid. So it is -- the entry is reversed and it is shown in the recoverable. You can see in the line item of the balance s

heet, there is a
financial assets, current financials where this recoverable amount is appearing
Vijay Pandey: So that revenue which we are getting from the -- or the information which we are getting from
the insurance, so that is shown into the P&L as of now or is it not yet shown?
Management: No, I think -- no, it is not shown in the P&L. What I just explained, this is a book entry and this
is because we have a valid insurance policy. So you can see that entry which is recoverable in
the financial assets.
Management: It's being shown as a receivable.
Vijay Pandey: Okay. Secondly, sir, I wanted to check in terms of passenger vehicles. So our passenger vehicle
contribution has come down. We were steadily maintaining at around 5% to 7% over the last
three, four quarters, but now it has come down to 2.3%. Any particular reason because we have
got the orders from Mahindra. So just wanted to check what is the reason for this?
Management: So this is a good question from your side. There's no particular reason. It's just mathematical
calculation. The overall 2-wheeler sales have gone up exponentially as explained in CMD
speech. The 4-wheeler, we have got orders, but they are under development and they will fructify
in some time. So the revenue is still to come. So what you see is just a mathematical calculation.
So as a percentage, it is looking less. Absolute values have not changed. But 2-wheeler market
in this quarter has done very well. Therefore, this is looking at a lower percentage.
Vijay Pandey: Okay. And lastly, sir, any idea when can we have any update on the passenger vehicle part? I
think we -- in last call, we said that within 6 months to 9 months' time, we'll have an update?
Management: Yes. So we maintain that. In the last call also, I had said that by end of this financial year, we
should be having a clearer picture on our business planning and we maintain that statement. So
we are in that process.
Vijay Pandey: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Aangi Sheth from Array Investments. Please
go ahead.
Aangi Sheth: Hi, congratulations on the great set of numbers. I had my first question, which is that what is
like this time, the margin has been very well compared to the last quarter. So what has -- has
there been any like changes in the product mix or like what is the contributing factor to this rise
in margins?
Management: So you're absolutely right. The margin has close to 14%-odd, which is a high target for us. So
the number is driven by a product mix and also the fact that there is operating leverage now that
is kicking in with the increased sales. So we do -- we are kind of now hoping to work more
around this range. We've generally guided more 13% to 14%, but we are hoping to work around
the 14% mark going forward.

Aangi Sheth: Do you think this is sustainable, the margin?
Management: Yes. We think given the new volumes and the drivers, we think we should be able to work
around these levels.
Aangi Sheth: All right. And one more question is there -- has there been any like RFQs that has converted to
orders in this quarter?
Management: Yes, we have already in the CMD speech, it is being informed. There are two models which
from Hero is being launched. It is being already converted into a mass production and a sales.
Aangi Sheth: All right. That's from my end. Thank you.
Moderator: Thank you. The next question is from the line of Anubhav Mukherjee from Prescient Capital.
Please go ahead.
Anubhav Mukherjee: Yes. Sir, my question is on the Hero models only. So in the last quarter, Hero has, like, launched
quite a few products like the new Vida scooter, e-scooter. Then I think there was Glamour X
125. So, are these the new models that we will be supplying to because in some of the earlier
quarters, you also had mentioned you were, like, working on some new models.

So can you give
some details on that?
Management: Yes. So in CMD sir, speech, it is being already disclosed, in the last quarter, Glamour X 125 and
Xtreme, these are the two models which is being launched and it is under production right now.
So wherein our projector headlamp is under production for Glamour as well as Xtreme, we are
supplying the winker -- LED winker lamps, which is also in production for both the models. And
others are already under development, which will be launched and will be announced soon.
Anubhav Mukherjee: Okay. Will you be able to share any indication of like how much Hero can scale up to in the next
financial year? Or is it too premature?
Management: You know, for us, we believe that once the customer gets to at least a 10% of our revenue, that's
when we can sort of give a more specific guidance. Right now, it's much lower than that. But
overall, that directionally, this volume will keep picking up. This quarter has been much better,

and we expect the next half to be even better with Hero.
Anubhav Mukherjee: And sir, apart from Mahindra, like, have we progressed in getting any RFQs or orders from any other passenger vehicle OEMs?
Management: Yes. We already have RFQ at quite advanced stage from Force Motors in a good manner. We have RFQ from Mercedes. So these are the three customers where RFQs are already in progress, and we are expecting some from other customers as well.
Anubhav Mukherjee: Okay. And sir, is there any time line in which like tentatively, we can see the start of production for these, like, new OEMs?
Management: So already, I think in last investor call, we had explained, we started our production for our first order. And based on our quality and delivery reports, it has got adopted into other important

models of Mahindra, which is Scorpio and Thar. And very soon, it will also be deployed in the balance models.
And we are also opening a warehouse in Pune to support our customer. So that will be the next big step that we are taking. And after that, we have started another production for XUV700 refresh model, which is RR and Fog. Now this will continue because we have other orders from Mahindra and a long list of RFQ on which we are working.
Anubhav Mukherjee: Thanks. I will get back in queue.
Management: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Devesh Kayal from Monarch AIF. Please go ahead.
Devesh Kayal: Sir, just want to know whether we lost any revenue from this fire or it was offset by higher production in the next few days?
Management: No, there is no loss of revenue. You can see in the numbers.
Devesh Kayal: Okay. And on the HMSI side, so HMSI forms 25% of our revenue. While we see over the past few quarters, many quarters our revenue, HMSI revenue has been kind of in line with the production growth of HMSI. So is it fair to say that in Honda, we have lower share of LED?
Management: No. We have -- we don't have lower share of specific products. We have maintained our market share. But -- and, you know, overall, our overall market share is absolutely in line with what is happening. However, there are always a couple of quarters where one product does better than the other, and those minor variations are there. But overall, our market share remains absolutely the same.
Devesh Kayal: Okay. And within the overall Honda, the LED share remains as it is?
Management: Yes.
Devesh Kayal: Okay. Yes. That’s it from my side.
Moderator: Thank you. The next question is from the line of Shubham Sehgal from SIMPL. Please go ahead.
Shubham Sehgal: Yes. Thanks for the opportunity again. I just had a follow-up. As you mentioned, that we will be having share in the TVS Norton model. So, what can we expect the realizations to be compared to a normal model like this higher technology that we have? Like can it be like almost double, triple or just an approxim

ate sense if you could give?
Management: This is now too early to announce any numbers. This is totally dependent on the customer launches and the OEMs.
Shubham Sehgal: But definitely higher realizations?

Management: Yes.
Shubham Sehgal: Okay. My next question was, so the new models that have been launched by Yamaha in India recently. And also, I think they've announced further upcoming models in the pipeline. So do we have any share in them? And what are our expectations from these models?
Management: Yes. So in the speech, this has already been cleared that XSR155 is being having our headlamp and taillamp. And their first model of EV is also being launched a few days before is also being supplied by all the lens from Fiem only. And further on, there are new models which are under development. And once these will be launched, we'll definitely declare all the models.
Shubham Sehgal: Okay.
Management: These are all for domestic as well as for global market.
Shubham Sehgal: Okay. Domestic plus export you're saying, right?
Management: Yes, yes.
Shubham Sehgal: Okay. Okay. All right. Yes. Thank you. And just last one clarification. So you mentioned that we have an RFQ from -- is it the same development product that we have been talking about? Or has something changed here? Have we progressed here? Like has something changed here?
Management: Yes, these are the same around -- we have more than 100 projects as of now that will be generating the revenue in years to come, maybe around INR1,000 crores to INR1,200 crores.

Shubham Sehgal: Okay. All right. Got it. Thank you.
Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: Congratulations on a good set of numbers, sir. Thank you for the opportunity. So, my questions are more around the 4-wheeler part of business. So could you elaborate more in terms of -- so I remember that last time we had mentioned that we have around INR700 crores of RFQ on the 4-wheeler side.
So right now, have we added more in terms of that, if you could quantify? And also in terms of our plans because I think the next leg of growth might be driven by the 4-wheeler segment. So any time lines over there, if you can give us?
Management: Yes. So as explained, some of the RFQs have already got converted into business nominations for us, which was there in CMD speech. We have graduated from license plate lamp to high-mounted stop lamps, which is a normal progress in 4-wheeler business.
We got this for the flagship model of Mahindra, which is Bolero, which is a big win for us. And then post that, we have got for Scorpio as well. We have got RR that is reflex reflector and fog for two models, side repeater lamps. Plus we are now receiving RFQ for other models as well.

The RFQ value remains similar as we shared with you before because some of them have got converted and some new RFQs have come from Force Motors. So this is a cycle which we are following. And soon, we'll be converting the current RFQ into business award.
Khush Nahar: Any time on the plant, so I know that the management will give a more clear picture by the end of the financial year. So once we decide to go ahead, how much time would it take to set up a dedicated plant for 4-wheeler and if any ballpark number on the investment that is required?
Management: So yes, we will be more equipped to give you a direction by end of this financial year because we are getting good response from customers. Customer is trusting us, and we are delivering to the expectation of customers step-by-step because we don't want to rush up.
We want to go step-by-step process, which we are following. And we are generating more RFQs and also converting it into business nominations. So we should be able to give you better direction by end of this financial

year.
Khush Nahar: All right, sir. Thank you.
Moderator: Thank you. The next question is from the line of Mihir Dhami from Augmenta. Please go ahead.
Mihir Dhami: Hi, sir. Thanks for the opportunity. I was asking Yamaha had some very good production numbers in this quarter sequentially. So this quarter, it wasn't reflected in our numbers. I understand last quarter, we had very good numbers at that time, but what was the reason for it?
Management: So there are a few models which is being export model volumes, which has increased, and we exported good volume for three or four models for Brazil as well as for Europe. And the domestic market is also being done good for the models which are being under our mass production products.
Mihir Dhami: Okay. I was asking this quarter wasn't good for Yamaha in our portfolio? Any reason for that?
Management: So this is a volume only which is being exported by us. There are a few models which is being launched last quarter as we already disclosed. So those models is being converted into sales figure.
Mihir Dhami: Okay. All right. And another question was 2-wheeler production data in October was quite strong. So do you expect quarter 3 to be particularly strong versus this quarter?
Management: I think structurally, if you look at the 2-wheeler industry, I think if you look at the full year, we feel that there is a high possibility that this will be the highest production year. We could surpass the COVID-high, which was hit back in 2019, '20. So overall, directionally, we feel that we are on an upswing in the 2-wheeler industry.
Mihir Dhami: Got it. Thank you.
Management: I mean I don't want to comment on a couple of months here and there. But if you look at H2 and overall year, that's the direction we are talking about.

Mihir Dhami: It’s okay. Thanks.
Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Sir, thank you for the follow-up. Just two questions from my side. One was on the Mahindra. So now the new Bolero has been launched. So should we expect revenue from the -- this quarter 3 onwards, incremental revenue in the PV based business?
Management: So as I said, the revenue is already coming in. We are selling our first product, but it is insignificant as a percentage to sale at this moment and therefore, not of interest at this point.
Because we are going in a step-by-step process. We will start seeing more revenue when these new orders, they fructify in manufacturing. And we will keep you informed of our business plan

as we progress.
Vijay Pandey: Okay. Okay. Sure. And lastly, sir, just I know that you had answered it previously. Just I wanted to understand that inventory write-off of INR31 crores. So is it included in an EBITDA or is it below EBITDA line? That is what I just wanted to...
Management: No, there is no impact on EBITDA. There is no impact.
Vijay Pandey: Okay. Okay. Thank you.
Moderator: Thank you. The next question is from the line of CA Vansh Handa from Nvest. Please go ahead.
Vansh Handa: Yes. Thanks for the opportunity and I have a question, like, what is your outlook for the FY '27 in terms of both 2-wheelers and 4-wheelers? And if you can give the guidance for FY '27, that's my question?
Management: So overall, automotive industry, including 4-wheeler, 2-wheeler, both look promising if you look at the next 12 months to 18 months. And directionally, 2-wheeler is performing much better. All the green shoots are there for this recovery to be sustained. So -- and on the 4-wheeler side also, we expect that what we are doing is a differentiated product there. So there is going to be volumes coming through.
On the guidance front, we don't give specific guidance, except that we believe that we will outperform the industry. And in the current context, we have given a guidance of 15% to 20% revenue growth, w

hich we are maintaining. We would like to do that.
Vansh Handa: For FY '27, right?
Management: That's right.
Vansh Handa: Okay. Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Yes. Thanks for the opportunity. I think your numbers have been very great this quarter. Congratulations. Just wanted to understand, if I look at automotive lighting, non-LED, there has been a growth in sales in this quarter, if I say quarter-by-quarter, quarter-on-quarter as compared to automotive LED lighting. Any particular reason for this quarter-on-quarter?
Management: So there is no particular reason. Sometimes one model which is having the LED that performs better. That number comes in. Otherwise, if you see the yearly basis, that is going -- moving towards 2%, 3% more every year.
Vinay Nadkarni: Okay. And basically, Fiem's growth is always higher than the automotive sector growth of your various partners. Now that generally is because -- I presume because when you're moving from halogen to LED, the 3x multiple will, of course, drive your volumes more. Am I right in -- not volumes drive your value more. Am I right in assuming that?
Management: Yes, you are right, but there are other factors as well. So this is absolutely the whole trend towards LED is definitely a driver for growth. But there are many other factors, including our own product mix, what we do with our customers, our direct and indirect exports that we do. So all of this club together, we are able to outperform the industry.
Vinay Nadkarni: Okay. And lastly, you talked about operating leverage and product mix driving the EBITDA this time. Any particular reason for that operating leverage? You got more volumes in terms of...
Management: Just more efficiencies coming in on our existing plants. So -- and we -- as I said, we hope to kind of make sure that we are able to put more efficiencies out as we.
Vinay Nadkarni: Has the capacity utilization improved?
Management: Yes. This quarter capacity utilization has improved. Definitely, we are moving in towards the 80s. But simultaneously, we are already doing capex to ensure that we have optimal capacity for the next 24 months. And we are also doing -- as you are aware, we have done INR38 crores of capex in the first half.
We expect to do another INR50 crores to INR60 crores in the H2. So our capex for the current year should be INR100 crores. Going forward, we want to continue the momentum of capex in line with our growth.
Vinay Nadkarni: So your capex -- capacity utilization is around 80% this quarter. Then what about product mix? Yes. When I see product mix, the product mix in this quarter actually is more towards automotive lighting, is it compared to LED lighting? Until your margin has improved, any look on that?
Management: Yes. See, you are right. I mean there is some percentage you can see higher in the LED lighting as comparable to the mirrors and the plastic. But as already informed, there are some new model launch in the lighting. So this is the reason of increase in the lighting business.
Management: Moreover, our focus is towards...
And as a company, we remain focused on the automotive lighting as our main product.

Vinay Nadkarni: Yes. Yes. So when you say product mix, it is the product mix between automotive lighting, LED

lighting and the other products, right?
Management: No, that plus also within LED lighting, our product mix with respect to the customers. For example, we highlighted, let's say, the Norton deal and so on. So all of these blended together, we are able to outperform the domestic industry.
Vinay Nadkarni: So you basically are looking at slightly higher price realization this quarter? Is that what you're saying?
Management: See, it's not -- I don

't think you want to make a generic statement like that because it depends on particular model for that.
Management: Requirement.
Management: Exactly. What is the customer focusing on what kind of a product? Sometimes it's premium product, sometimes it's low value product. That generic statement, so margin is not driven by that. Margin is driven by operating efficiency.
Vinay Nadkarni: Thank you very much. Thanks a lot. I wish you all the best for the remaining H2.
Moderator: Thank you. The next question is from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead.
Anubhav Mukherjee: Sir, in LED lighting, what is our level of localization now? Like apart from the LED chip, which I suppose we would be importing, do we manufacture all the other parts or like what is the level of localization?
Management: Yes. Only the electronic components, inclusive of LED, we buy from outside. Rest all operations with SMT or assemblies or other processes are being done in-house only.
Management: All localized.
Management: So this is all localized. And you will appreciate we wouldn't be able to get the margin that we can if we were not doing this in-house and that has been our strength. We do everything now.
Anubhav Mukherjee: So it's like almost completely localized. There's no scope for further...
Management: Yes.
Anubhav Mukherjee: Okay. And sir, in lighting, like you also mentioned animation and there is talk of like ambient lighting as well. So can you give us a flavor on the R&D front, what we are doing to keep abreast of all of these new technologies? How large is our R&D team and annually what percentage of sales we are spending on R&D effort?
Management: Yes. We are odd 100 -- more than 100 numbers people as of now working in our R&D, especially in the electronics side, which is a core strength. And the near future is, of course, we are

electronics. So like the animation, Animation is one of the function, which is being incorporated in our Norton lamp, not only Norton and other lamps also.
This is being driven from the vehicle side indication and it is being controlled within the product, which gives the different kind of running light like the position light, which is giving you whenever you switch on, it is on then gives you some specific signature feature, which is running from one corner to other corner and other corner to next.
So these are the few features which you can see on. Yes, these features are already available on site, if you see the Norton field and further on we are working on ambiance lighting and other -- so many electronics areas wherein we are working for technology, which will very soon will be introduced in the market.
Anubhav Mukherjee: And sir, there are couple -- there are some peers who are like going for like JVs or technology agreements for things like ambient lighting. So do we feel the need for any external technology help or we feel like we can develop in-house completely?
Management: As and when it is required we will do.
Management: So we do not feel a need of any joint venture for this purpose. We are in touch with our relevant partners. As and when required, we can have technical assistance from them for that particular technology and that particular product. Yes. So we are also strengthening our own resources.
We are opening up our innovation lab here and where the people will be working on futuristic technologies. So we are creating that capability in-house. So in general, we don't need any joint venture partner. We are focusing on self-reliance in technology.
Anubhav Mukherjee: That's very helpful, sir. Sir, just last question, sir, since you mentioned for HMSI, like can you give an indication of like are there any new models or like any international models that you're working for, which can help grow better in the HMSI account going forward?
Management: Yes

, it is very too early to disclose anything. But we are, of course, working on a few models, which are for global as well as for domestic.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital Limited. Please go ahead.
Sahil Sanghvi: Very commendable numbers, especially on the margin side. So congratulations for that. My first question is to Vineet sir, on the ambient lighting front and a few other technologies that we are

working on. Do we have any kind of -- I mean, major progress over there, any kind of major trial runs or any kind of major commercializations over there? If you can just give some more details on that?

Management: Yes. So ambient lighting, we did demonstrate to our customers. So one of the customers have advised us to make a POC. Our team have already demonstrated a proof-of-concept to the customer, very well appreciated by the customer. And this was done along with our electronics team. So we are expecting us to be in the panel of ambient light supplier very soon. So it is moving in the right direction.

Sahil Sanghvi: Right, sir. That's really good to hear. And secondly, sir, we've got into some MOU with a Swedish company called Allight Lighting for some adaptive lighting. If it's not very early, if you can help us understand what the product is and how you expect this to improve our lighting products as such?

Management: So we have recently signed an MOU and this is because of the government focus on safety. So this is a safety product, which we are bringing in and we are also demonstrating it in the next week in ISOL, which is International Symposium on Lighting. So this is basically when you turn the motorcycle and the light has to be stable. So that is the focus and this will help in reducing accidents on road. So our focus is on [inaudible 0:47:46] concept in the 2-wheelers. And this is [inaudible 0:47:52] and we will demonstrate to the customer [inaudible 0:47:55] in ISOL next week.

Sahil Sanghvi: And depending on the adaptability and then we'll have future benefits on that, right? I mean will take some time to be adapted, right?

Management: Yes, of course, because it takes time, customers will see it, will ask us to make proof-of-concept, we'll do the road test. And, of course, that's a process. But important point here is to keep customers engaged with new technologies because that helps us in building our own credibility and it has different advantages in getting some more RFQs. So that is the direction. Customer starts working as a partner with you.

Management: Innovation…

Management: And that's the focus on innovation.

Sahil Sanghvi: Got it. That’s really good to hear. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Saurabh from. Multi Act. Please go ahead.

Saurabh: Yes. Thank you for the opportunity. I had a question on Hero. We have two models which are into production and several, which are in the pipeline. So combining all the models, will we be like achieving around mid-single-digit contribution in next year from Hero?

Management: The pipeline, we've already disclosed in terms of the numbers, what has already been come out and what we are working on. But I think specific numbers, as I mentioned we wouldn't want to put a specific number as and when they cross the threshold of 10% or near, we will be able to come back and tell you. But we are -- directionally, we want to get there.

Saurabh: Okay. And on the passenger vehicle side, like you have said that you have gradually progressed from number plate light to fog light, etcetera. So in the RFQs or in the design phase, are we also present in the main headlamp or taillamp or it is still in the ambient lighting and the interior lighting that we are working?

Management: So, it's a little early to disclose this strategy, but we are fully committed to enter into all l

amps of 4-wheelers, front lamp, rear lamp, bigger lamps, smaller lamps.

Moderator: Thank you. The next question is from the line of Mehul Panjuani from 40 Cents. Please go ahead.

Mehul Panjuani: Hello, sir. Thank you so much for the opportunity. I missed your commentary, sir. I would just like to understand is the H2 expected to be better than H1 for our company?

Management: We are driven by the market, and you see where the OEM commentary is, and we hope that H2 is better, but we can't give a specific guidance. Overall, as we keep guiding, we will outperform the industry.

Management: [Inaudible 0:51:07] we are bullish.. OEM will do well.

Mehul Panjuani: Right. Sir, a follow-up question on this. I mean, since I'm new with the company, what is the revenue contribution from 2-wheelers vis-a-vis 4-wheelers?

Management: So today, we are.

Management: Just in the beginning.

Management: Yes, it's around 97% is 2-wheeler, 3% is 4-wheeler at this at this point of time.

Mehul Panjuani: Okay, okay. Okay, sir. Thank you so much for the clarification.

Moderator: Thank you. The next question is from the line of Gopinath Chenna from CDK Global. Please go ahead.

Gopinath Chenna: Congratulations on good set of numbers. Am I audible?

Management: Yes, if can be a little louder, better.
Gopinath Chenna: Yes. So, just have one question. So is there any plans for stock split bonus?
Management: I think your question is about the bonus, right?
Gopinath Chenna: No, no, I'm asking, are you thinking about -- is there any discussions over bonus or stock split?
Management: No, no, nothing. We just finished in 2024.
Gopinath Chenna: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: Sir, thank you for the opportunity again. I just wanted to know, I think -- so Dutch company called Nexperia had some issues globally in terms of the chips, which are usually used in the automotive segment. So are we facing not in the next 3 months, but 6 months, any delay in our schedules from the customer side that is supposed to affect the industry in general?
Management: Se -- from electronics side, we are using all these discrete items. And wherein not only single source, we always work with multiple sources, and it is being all communicated with the customer. So no production will be hold or held up because of this Nexperia.

Khush Nahar: Okay. All right, sir. Thank you.
Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.
Vijay Pandey: Just a follow-up. So just wanted to understand in terms of 2-wheeler industry, the LED market share will be around 2/3 or is it 50-50?
Management: Industry wise question….
Management: See for us specifically, our contribution is 63%. But as far as the overall industry is concerned, it's estimated around between 30% to 40%, perhaps, but we don't have a specific data around it.
What we are seeing is that there is this increased trend towards LED. In fact, we've highlighted that all our projects that we are working on, every 100% is on LED. So there is this trend towards LED and it will move there over the next couple of years.
Vijay Pandey: One more just, what will be in terms of if I see the content per vehicle CPV for passenger vehicle, what can be the expectation in case of PV as compared to CV -- as compared to 2-wheelers?
Management: So again, it depends on the features of the light. A fully loaded car with all features of LED, the light costs around, let's say, INR60,000. This is fully loaded. But if you remove full load, bring it down, it will be around INR20,000, INR25,000, right?
So there is a difference. It depends on a lot of features, what features you bring into lighting, how much electronics you have into lighting, right? And

I think ratio could be from 2-wheeler to this 1:4 or more. Yes.
Vijay Pandey: Okay, okay. Thank you, sir, and the best for upcoming projects. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Sahil Sanghvi for closing comments. Thank you, and over to you, sir.
Sahil Sanghvi: Yes. Just wanted to thank the management for very elaborately and patiently answering all the questions. Also on behalf of Monarch Networth, we want to thank all the participants for joining the call. Management, Jain, sir, would you have any closing remarks?
J.K. Jain: Sure. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thanks. Have a good evening.
Moderator: Thank you, sir. On behalf of Monarch Networth Capital Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines.
Note: There has been some disturbance in audio during the call. For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: Jun 2026

June 6, 2026
The Manager,
Dept. of Corporate Services
B S E Limited
25th Floor, P. J. Towers, Dalal Street,
Fort, Mumbai - 400 001
[BSE Code: 532768] The Manager,
Listing Department,
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (East), Mumbai -400051
[NSE Symbol: FIEMIND]
Dear Sir,
Sub: Q4&FY26 Earning Call: Transcript.
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
(referred herein as Listing Regulations).
An Earning Call was held on June 1, 2026, to discuss Operational and Financial performance of the Company for Q4&FY26. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.
The web link of the above Transcript is as under:
Link:https://■emindustries.com/analyst-meet-audio-recording-written-transcript/
Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.
This is for your information and records please.
Yours faithfully
For Fiem Industries Limited
Arvind K. Chauhan
Company Secretary
Encls: A/a

Fiem Industries Limited
Q4 FY26 Earnings Conference Call
June 01, 2026

COMPANY MANAGEMENT
- MR. J.K. JAIN– EXECUTIVE CHAIRMAN - MR. RAHUL JAIN- MD
- MR. RAJESH SHARMA – JMD - MS. AANCHAL JAIN - JMD
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA– CFO
- OTHER FINANCE TEAM MEMBERS

HOSTED BY
MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Fiem Industries Limited Q4 FY26 Earnings Conference Call hosted by Monarch Networth Capital Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all the participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Ill now hand the conference over to Mr. Sahil Sanghvi from Monarch Networth Capital Limited.
Thank you, and over to you, sir.
Sahil Sanghvi: Thank you, Jitesh. Good evening, everyone. On behalf of Monarch Networth Capital, I welcome you all to the Q4 and FY26 Conference Call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we will open the floor for question and answers.

Now I hand over the call to Mr. J.K. Jain, the Executive Chairman of the company. Over to you Jain Sir.
J. K. Jain: Thank you. Good afternoon, and welcome to the Q4 FY26 and Full Year FY26 Earnings Call of the Fiem Industries Limited. Joining me on today's call are Rahul Jain, Managing Director; Aanchal Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team. Our investor presentation and the results are now available on our website and the stock exchange. We trust you have reviewed the same. Let me begin with the macro environment during FY26. Geopolitical tension, currency fluctuations and cost pressures continue to shape up the operating environment for business across the world yet the Indian automotive industry remained resilient, driven by strong fundamentals and continued innovation. Against this backdrop, Fiem delivered its strongest performance to date. This achievement reflects the strength of our customer relationship and resilience of our business model and enduring value of and the capabilities we have built over the years.
Let me now turn to the 2-wheeler industry. FY26 marked an important milestone as industry production exceeds the pre-pandemic peak achieved in FY19. Production volumes for the year grew about 12% to an all-time high of roughly 26.7 million units. Growth was driven by improving rural demand, shift towards premium vehicles and the steady adoption of the electric vehicles.
Coming to the Fiem performance, I am very pleased to report that FY26 has been a record year for the company on every key measures. We delivered strong revenue growth and all-time high profit and our best ever margins. For the full year, our revenue grew by about 16% and the profit after tax grew even faster by 24%.

Our EBITDA margin also reached a record level, supported by operating leverage and the benefit of our integrated manufacturing models. Let me share a few highlights of the strong progress with our key customers. At TVS, we remain a trusted partner across major platforms, including the iQube, Jupiter, Moped and motorcycle. This reflects the depth of our long-standing relationship. With Honda, our relationship continues to expand, including on Activa EV platform and several new models under development.
At Royal Enfield, we support key models such as the Classic and are also participated in the emerging EV initiatives. We also recorded healthy growth with Suzuki and Yamaha during the year

. At Hero, we achieved an important milestone with approval for a new upcoming EV platform, creating opportunities to further expand our presence in the fast-growing electric mobility segment. Importantly, most of the new business we are winning in LED. This reinforce both the industry's technology transition and the Fiem leadership in advanced automotive lighting.
Alongside growth, we continue to invest in the future. As a part of our long-term commitment to responsible manufacturing, I am pleased to share that we have started our journey into green power. We have commenced the rollout of the rooftop solar and open access renewable energy across our plants.
At our Hosur facility, around 65% of our energy needs are already met through solar power with a further 20% being added through wind energy. We intend to roll out this model across all our other plants over the coming years. This will help reduce our energy costs, improve operational stability and advance our goal and becoming a carbon-neutral company.
Now turning my attention to the 4-wheeler segment. We continue to see significant traction in the business and will start fulfilling key orders for clients like Mahindra & Mahindra starting this year. As you know that Mr. Vineet Sahni has stepped down as CEO to pursue another opportunity. This transition has been smooth and well planned. The leadership responsibilities have been assumed by our Managing Director, Mr. Rahul Jain, who will continue to drive the company's growth agenda with particular focus on expanding our 4-wheeler business.
I am also delighted to share that Ms. Aanchal Jain has been appointed Joint Managing Director. She will work in tandem with Mr. Rajesh Sharma, our existing Joint Managing Director, who has a vast experience in the automotive industry. Their combined experience and leadership will further strengthen the company's management team.
As we look ahead to FY27, I remain confident about the opportunities before us. The industries continue to benefit from healthy underlying demand, while the shift towards premium technology-rich vehicles align closely with our strength and capabilities, supported by a strong order book and a robust customer pipeline, we are well positioned for the next phase of the growth.
With this, I now hand over to Mr. O.P. Gupta and the finance team to take you through the

detailed finance performance.

O P Gupta: Thank you, sir. Good afternoon to everyone. First, I will present Q4 numbers, after which I will cover the full year FY26. The company has registered quarterly sales of INR744.35 crores in Q4 of FY26 as compared to INR633.8 crores over the same quarter last year, registering a growth of 17.44% The EBITDA in Q4 was INR109.18 crores translating into an EBITDA margin of 14.67% as compared to INR83.81 crores over the same quarter last year with EBITDA margin of 13.22%. The PAT of the company has also increased to INR70.59 crores as compared to INR57.69 crores in Q4 of FY25, representing an increase of 22.36%.
Now, I will briefly cover the numbers of full financial year 25-26. During FY26, the company has achieved net sales of INR2,790.65 crores as compared to INR2,404.96 crores in FY25, representing a growth of 16.04%. EBITDA stood at INR393.34 crores translating into an EBITDA margin of 14.09% as compared to INR320.73 crores during FY25, translating into an EBITDA margin of 13.34%.
As a percentage of total automotive lighting, the LED lighting stands at 60% (63%) in comparison to 60% during last 3 years. PAT of the company stood at INR253.87 crores as compared to INR204.14 crores during FY25, which is higher by 24.36%. I am also pleased to share that the Board has recommended a final dividend of 400%, that is INR40 per share amounting to INR105.28 crores. During the year, the company has made a capex of INR108.31 crores.
With this, I end the financial b

rief, and now the floor is open for question and answers. Thank you.
Moderator: The first question is from the line of Arun Agarwal from Kotak Securities. Please go ahead. I'm sorry the line got disconnected. The next question is from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead. Anubhav Sir. Can you hear me? I request you to disconnect the line and please rejoin. We are not audible. The next question is from the line of Dilip Verma, an Individual Investor.
Dilip Varma: This year, the receivable amount has just jumped up. So I just wanted to know what are we liable to get that money back from our customers?
Management: Sorry, your voice is not clear. Can you speak loudly?
Dilip Varma: I had a question regarding receivables….
Moderator: Sorry to interrupt, sir. Sir, your voice is very low, sir. -- can you please raise your handset because we can hardly hear you.
Dilip Varma: Okay. I'm speaking into my handset. What I wanted to ask was that the receivables have shot up this year versus last. I was just wondering if there was a problem with any of our customers and are we able to get our money back?
Management: Yes. This is Arvind. You are seeing the numbers, you are right. There is some increase in the number of debtors, but please understand there is no change in the payment terms. Earlier, we used to discount the bills from our major -- two major customers, one is the TVS. Now company

has good cash flows and cash available. So we discontinued the bill discounting, and this is the only difference of the numbers. Otherwise, there is no difference in the terms of the payment.
Moderator: The next question is from the line of Khush Nahar from Electrum PMS.
Khush Nahar: So, a couple of questions. So first, I think on a yearly basis, the other expenses and employee cost has increased in comparison to the revenue. So, what would be the reason for that? Are we front-loading any capex that you're planning? And accordingly, could you give us more color on the 4-wheeler capex that we were deciding what is the amount? And is there any greenfield according to the RFQs and interest that we're seeing in the product?
Management: Yes. So let me question -- let me answer your first question that is about the employee cost. So as a percentage of sales this year -- for full year, this is 13.80%. And earlier also, this is the same range..13.62%. So there is no major change. And some of the difference you will see this because of the increase in the labor cost notified recently.
Management: And on the other part you asked on the 4-wheeler capex, as we have highlighted in the past, our capex program, if you look at it, we look at it at a company level. We have a projected capex of INR200-odd crores over the next 2 years. Last year, we did approximately INR108 crores, and we will continue to invest in our facility.
Some of the 4-wheeler initiatives that we are doing will already be covered in this INR200

crores. If any greenfield project is put up either for 2-wheeler or 4-wheeler, we will advise you
well in advance. At this point of time, that is not envisaged. This INR200 crores takes care of
everything.
Khush Nahar: Okay. All right, sir. And in terms of RFQs, I think you're sitting on around INR700 crores of
RFQs. So any update on that in terms of conversion into business and what kind of pipeline or
traction we are seeing in the 4-wheeler business?
Management: Yes. As we already informed the last call also, it is already there, and we are converting -- we
have already converted 70% of those RFQs into a business and which will be under development
right now.
Moderator: The next question is from the line of Anubhav Mukherjee from Prescient Capital.
Anubhav Mukherjee: Am I audible now?
Moderator: Yes Sir.
Anubhav Mukherjee: Firstly, congrats on a very good set of numbers. Sir, you mentioned about new business from
Mahin

dra. So, can you share some color on like did we win some business for new models? And
what type of ramp-up can we see like in FY27? Some color on that will be very helpful.
Management: Yes. We were continuously informing about our business, what we did and what we are doing
as of now with Mahindra. We started our business 1.5 years before, and we are slowly and
gradually be increasing one other part, which are as a second source. And there are a few projects

which are being coming as a first source also. And we are working and we have already projects
in pipeline, which will be soon once this will be launched, we'll inform you in advance.
Anubhav Mukherjee: Okay. And sir, my second question is like what type of ramp-up are we seeing in Hero
MotorCorp? You had in the previous call mentioned about some new model launches in which
we are present. So, can you share some more details on that?
Management: Yes. There are two models which is being launched in last quarters, two quarters. These all
models are running well. And further on, EV models, which is already being included in our
CMD speech, EV model also being awarded to us, and we will soon be give you the feedback
once these models will be in the market, once it will be launched.
Anubhav Mukherjee: Okay. Just a small follow-up. I think Hero launched a new refresher version of Splendor, I think
Super Splendor XTEC. So, is that a model for which we are like a supplier?
Management: As of now, we are not with the Splender, but we have other model which is being launched and
are working for new models, which will -- as of now, we cannot disclose it.
Anubhav Mukherjee: And sir, for exports, we were doing some product development for Mercedes and we had, I
think, visited our plant. So any new business win in that area.
Management: Yes. As we had already informed that Mercedes has given us a business, which will be a testing
and validation project. So this model is being well developed, and we had submitted our samples
for their testing and validation. Once their testing will be over, the final RFQs will be given to
us for the next model development.
Anubhav Mukherjee: Sir, final question before I get back in the queue. Sir, given the commodity inflation and I think
we have some import of LED chips and given the INR depreciation, could you give some
perspective on where you see the margins in the coming financial year?
Management: Yes, you're right. There is -- obviously, in the market, there is this whole supply chain disruption,
which may -- which is causing price escalations in a number of our products. We also have some
imports that we cater to. But what we've kind of explained to you in the past, for us, these are
all pass-throughs. It's all very well known and understood by the customers.
So these are passed on this price escalations, any increase or decrease, both ways is passed on
to the customer. It may happen with a lag of a quarter here and there. But over a period of time.
So for the full year, we continue to maintain our guidance that we will be in the current margin,
which is a 14% EBITDA plus is what we target for.
Moderator: The next question is from the line of Arun Agarwal from Kotak Securities.
Arun Agarwal: Sir, my first question is on the 4-wheeler business. Like one of the earlier participants talked
about RFQs of around INR700 crores, and we are talking about 70% of that getting converted
into business. So that would be around INR500 crores possibly. So is it possible for you to help
us understand how the scale-up of revenues in this would happen, say, in the first year or second
just a tentative understanding sir on this part.

Management: No, thanks for that question. Yes. See, first of all, let me just clarify that 700% (700 Crore) RFQs going into the next phase. That's not converting into an order. S

o let us not read it as conversion
into a fixed order. Now specifically, over the last 2 years, we've kind of explained to you individual details in terms of how we have progressed with Mercedes, how we have progressed with Mahindra and several other customers.
So the order book is starting to come in, but it is still relatively low. But if I have to give you a broad guidance for the year, our current 4-wheeler business would be in the range of INR100 crores to INR150 crores for the current year.
And going forward, we definitely expect this to move up significantly faster to INR200 crores to INR250 crores for the FY27-28. So we've explained to you, these are kind of hard-working businesses. It takes a while for these orders to come through. So we will see a limited impact coming in this year, and I would say, more meaningful impact in financial terms starting next year.
Arun Agarwal: To clarify, you said INR100 crores to INR150 crores FY27, correct, sir?
Management: That's right.
Arun Agarwal: And for FY28, sorry, I missed the number you said, it would move to...
Management: INR200 crores to INR250 crores range Okay, INR200 crores to INR250 crores.
Arun Agarwal: So also just one small thing. Did we also give the cash balance at the start? Sorry, I missed that part in case...
Management: It's around INR260 crores as of today. INR276 crores as of today.
Arun Agarwal: Okay. INR270 crores. Okay. Sir, my other question is on the revenue growth, what we have talked about in the past. So we should be growing by, say, 15% to 20% and outperform the industry growth. So going by the current scenario where currently well, the 2-wheeler industry is doing well, but then there are talks about some moderation in growth that could happen because of El Nino or weaker monsoon. So do we still maintain that annualized revenue growth of 15% to 20% going forward? -- margins you already guided on the revenue...
Management: Yes. We continue to be optimistic for the year. We believe that the year and the subsequent year look okay, and we'll continue to maintain 15% to 20% growth.
Arun Agarwal: Sure, sir. Sir, just one more thing. At the start, I think we talked about the LED penetration. For us, I think from the auto revenues right now, almost around 63%, 64% comes from the LED and balance 36%, 37% possibly comes from the halogen side. Just wanted to understand if you can guide us on the -- for the 2-wheeler industry, I'm talking about not necessarily. But for the 2-wheeler industry, as per your understanding, what would be the current LED penetration, if you could help us possibly both in value and volume terms is possible.
Management: Very tough to give a specific number because there are just too many models and they keep changing back and forth. We've seen some move into LED and then come back to lighting. We

-- the only thing we can give you a specific well regarding number is that our pipeline is almost 100% LED. So going forward, this number, which is 63% will progressively keep moving up. Now whether it happens to go to 80% in 3 years or 75% or 82%, we can't predict, but this number is going up directionally.
Moderator: The next question is from the line of Yash from Awriga Capital Advisors LLP.
Yash: Sir, my question is on the 4-wheeler strategy. Under Mr. Vineet, you had to talk about the 4-wheeler strategy on this call. So, can you throw some light on it? And is there any delay on the strategy? And also Mr. Vineet Sahni was supposed to talk about the strategy on this call. So what can be the reason for him resigning because you also offered an extension, I think, in March or January.
Management: Yes. So three different points there. First, let's address the point. Vineet Sahni has left and decided to pursue other interests. He served with us for a 3-year period. And at an extension time, we mutually decided that it is something that he

wants to pursue other opportunities. Now
what he's done is that we have had sort of put together a very solid base for our 4-wheeler business. We've worked hard over the last 2, 3 years. We've got talent. We've got team. We've got all the organizational structure in place now to accelerate this business.
So to your other question, the strategy will be put forward. The new leadership team of 4-wheeler is Mr. Rajesh Sharma and Rahul Jain, who are personally seeing both the businesses. And of course, Mr. Jain is also now personally taken this on. So we will present to you a more detailed strategy on this shortly. But under no sort of circumstances, should you think that there is any derailment in any way. We are moving forward. And we've also given you a little bit of revenue guidance today in terms of what numbers we can produce here. But a more detailed strategy, we will produce at the future. And we continue to be very bullish in terms of what we can do in this

segment because we are starting from a low base, we do very well.
Moderator: The next question is from the line of Akshay Shah from Ashika Investment Managers Private Limited.
Akshay Shah: Congrats on a great set of numbers, first of all. And most of my other questions have been answered, but I will ask you this. If you could just help me with the price of -- average price of a halogen lighting setup versus, say, LED, just maybe average figures.
Management: It is very difficult to reply the answer because it is totally depend on the product wherein front lighting, rear lighting, what all kind of operations, what all kind of systems will you be adding there. The product is not only headlight, this is not high beam low beam. There is a sequential lighting also. There is a position light, there is a DRL. So it is very difficult. But conventional to LED, it is 3 to 4x.
Akshay Shah: Okay. Right. And since we expect the current LED penetration of 63% to keep inching up, can we see more uptick in margins due to that due to higher LED share?

Management: We've always maintained that the margins are -- I mean, across -- at the product level pretty much similar. So, our margin take into account everything, and our margins will be similar to what we are guiding towards 14%, around 14%.
Moderator: The next question is from the line of Khush Nahar from Electrum PMS.
Khush Nahar: Sir just one question. Are we still --...
Moderator: Sorry, sir, your voice is breaking out. We can hardly hear you.
Khush Nahar: So my question was regarding the new CEO. Are we still looking out for a new CEO to head the 4-wheeler division? Or are we confident that we'll be able to drive the growth ahead since all the strategy is in place?
Management: No, no. We have enough management bandwidth within the company. We are just -- the point we had made is Rahul has taken over as the Managing Director. What we are trying to explain is that to give particular focus to this new segment, he besides the normal operation, he, along with Mr. Rajesh Sharma, will also personally look into growing 4-wheelers so that it gets a desired attention, but we are not looking for a specific CEO for that division. We have enough management bandwidth...
Khush Nahar: And just to get a confirmation, you said the EBITDA margins consolidated will be around 14%, including the 4-wheeler business. It is in a similar line, right?
Management: That's right.
Moderator: The next question is from the line of Anubhav Mukherjee from Prescient Capital.
Anubhav Mukherjee: Sir, in the 4-wheeler business, we have mentioned that obviously we are trying to scale up our business with Mahindra & Mahindra. And also, I think we have started some supplies to Force Motors. But do we see an opportunity to work with other OEMs like Tata Motors or Maruti what will it take to penetrate these other means.
Management: Yes. We are, of course, we are bulli

sh about 4-wheeler as we have already communicated in the past and now also. We are working very closely with all the customers, especially Mahindra, Force Motor and Tata Motors too. And slowly and gradually, once these models will be launched and market will gain and confident on our technology, we will slowly and gradually will start with Maruti also.
Anubhav Mukherjee: Okay. our revenue growth for this financial around 5%, which seems to be lower than the wholesale volumes for HMSI. And in the previous call, we had mentioned that it's mainly a product mix issue and we are looking to supply to some of the new models. So sir, can you share some color on like what type of new model business in HMSI are we getting?
Management: The new business we are getting continuously, but the launch will be, of course, decided by the company. We are ready with the product, which will be launched soon, and you will know once this will be launched because before that, we cannot announce. But whatever business share as of now, we are maintaining the same.

Anubhav Mukherjee: And sir, final question before I get back in the queue. Sir, for Yamaha, what type of scale do you see in the coming financial year? Because for Yamaha also, you had mentioned some new models. So have they gone into production?
Management: Yes, there are a few models which are already been started, which are all export model, export to Europe as well as Brazil. And further on 8 or 9 models are under development, which will be soon come into production. Those are for domestic as well as global models.

Anubhav Mukherjee: So compared to this year, do we believe further better growth in Yamaha in the coming financial.
Management: Yes. We are bullish for that.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital Limited.
Sahil Sanghvi: Congratulations again on very good results. My question is we were also working on some projects with respect to the ambient lighting and some new age lighting products. So what happens about that? And how do we take that ahead, if you can help us understand that?
Management: Sorry, one time again...
Sahil Sanghvi: So we are working on a few products on the ambient lighting side and other new age front lamps and all of that. So what happens on that front, the fog lamps and a few other things? Do we continue working on that? How do we think on those things?
Management: Yes. We are continuously working on that. And there are a few products which are under POC as of now. Once proof of product will be ready, we will be again visiting our customers to show them the technology, which is being discussed and validated at the time of initial development of meetings. And we are closely working with our partners.
Moderator: The next question is from the line of Rahul Majethia from ER.
Rahul Majethia: My question is more on our insurance cost after Tapukara fire and insurance claim, do we expect upward pressure on our insurance and renewal costs or perhaps on our borrowing costs because of this?
Management: Yes. So let me split your question in two. One is about the borrowing. We already have a very healthy cash in our hand. So, there is no question of borrowing cost in our company. Now coming to the insurance, see, this -- when you seek the renewal for an insurance policy, dynamics at that time works. So maybe this year, we paid some higher premium. Next year, that will be again negotiated with the players. So it is decided on that time only.
Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited.
Vinay Nadkarni: Yes. I have just one question. When I see your quarter 4 results, your automotive lighting, not the LED part, the other automotive lighting has actually shown a growth. Now is this a onetime thing? Or is this something which is going to be sustained going f

orward?

J. K. Jain: LED is going to be future.
Management: So, as already explained, our LED lighting share within the automotive lighting is increasing. So whatever you -- I mean in some quarters, if you see some increase in non-automotive, I don't know from where you are leading, but we're continuously increasing 1% or 2% every quarter in LED lighting.
Management: Last year, it was 60%. This year, it is 63%.
Vinay Nadkarni: No, I was talking about the non-LED automotive lighting.
J. K. Jain: Decreasing.
Management: This is decreased. Naturally, it increase in the LED -- are you referring some slide in the presentation?
Vinay Nadkarni: Yes. I'm basically referring to your Slide number 4, where you talk of Q4 28.2 automotive lighting, which around INR212 crores as compared to Q4 INR171 crores. So there's a 24% growth in automotive lighting and LED growth is 19%. So, I was just thinking, is this a one-off thing or maybe some models which came about...
Management: Okay. So this slide, you please see it is here the total sales of the company split into the LED and non-LED as well as the plastic and rearview mirrors. So, when we talk about the automotive lighting only, the split is between the LED and non-LED. So, this -- the chart you are referring, it is actually showing the whole percentage rearview mirror as well. If anything, clarification required, you can reach out offline as well.
Moderator: The next question is from the line of Akshay Shah from Ashika Investment Managers Private Limited.
Akshay Shah: Could you please help me with the current capacity utilization that we are working with?
Management: Yes. Current capacity utilization is in the range of 75%. We have done a capex of INR108-odd crores this year to debottleneck some of the lines. And we continue to invest over the next 2 years as we see the demand going up. So from a capacity perspective, we are well geared to handle our growth.
Moderator: The next question is from the line of Adithya Srinivasan, an Individual Investor.
Adithya Srinivasan: Congrats on a good set of numbers. So I'm just trying to look at the products other than the auto lamps, the rear-view mirrors, plastic molded parts, the revenue share has been marginally decreasing year-over-year. So I just want to understand the outlook for the next year and if it's going to continue to decrease? So if you can help me understand that. This is the only question I had.

Management: Okay. So again, because our main product line is the automotive lighting, and this is increasing very good way. So you are just seeing that percentage terms -- the total amount is also increasing

in the rearview mirror as well as the other parts, but this is very slow in comparison to the lighting. So this is the difference actually.

Management: Just to explain, this is not a stand-alone product, so to speak, which we pursue too much. It goes to the same set of customers where lighting is going. So kind of ancillary to the main lighting product. And it continues to be sort of in the similar direction mainly because our aim always has been to be a leading automotive lighting company, which is where our focus has been.

Moderator: The next question is from the line of Shubham Sehgal from SIMPL.

Shubham Sehgal: I just had one question. So, all of the 4-wheeler orders that we are pursuing and as you mentioned that we are targeting around INR100 crores to INR150 crores for FY27. So, I just wanted to get an idea regarding the margins. So, are we expecting our 4-wheeler business overall to be margin accretive? Or will it be similar margins as we are earning right now?

Management: See, I think the way we look at this business is at a holistic level. Right now, that business is too small to look at individual margin. Overall, we can continue to guide even while we grow this bus

iness, it will be at neutral margins. This is the margin range that we think we can follow for the next 2, 3 years.

Shubham Sehgal: Okay. Okay. Got it. My next question was, could you just go a little bit in depth and elaborate about the advanced EMI/EMC validation facility that we have opened up? And like is it -- will it support more of the current product development? Or is it for newer products? And could you just give some color about it?

Management: So, EMI/EMC facilities, which is being installed by us, which is one kind of facilities, which is being installed by only a lighting company wherein -- and this will support us in reducing the overall development time, validation of product during the development of Proto to the mass production, which will give us engineering strength of Fiem with a product which will be not only used for domestic for global market too. Overall, electronics is beginning to be a very critical component. And all this will happen in-house here in the -- will help the EMC lab will really help accelerate.

Shubham Sehgal: Okay. Okay. Got it. Like I think you earlier also mentioned that we would be supplying to Norton as well a different kind of a lamp, right, with the different kind of technology. So it will help with this, right?

Management: Yes, it will help EMC/EMI is being required any kind of lamp, which is being used semiconductors. Any electronic component is being used, the test is being done outside by each and every component. This is being installed inside so to reduce the overall development time and not to wait for the time which is being taken from our outside testing agencies.

Shubham Sehgal: Okay. Okay. Got it. And just one more update. I think in the last year or last to last year's annual report and earlier, we had even discussed that we were currently developing new products, not a different technology for the current products, but a new product entirely, like the touch capacitors, the laser technology or something other. So any update regarding these new products? When we expect -- when can we expect to launch them?

Management: We are ready with the POC. Proof of concept is most important, first of all, and we are discussing with all the customers. It is -- these all facilities and technology is being introduced first by the Indian government, wherein safety norms is being introduced. We are just waiting for those norms to be introduced, and we are ready for adopting this kind of technology with the proof of concept and with the engineering, which is being already taken and proven at our end.

Shubham Sehgal: Okay. And will these new technologies be more for the 4-wheeler or 2-wheeler or like nothing any specific?

Management: This is in 2-wheeler, 4-wheeler both, not only for specific any segment. This will be implemented with all the segments.

Shubham Sehgal: Okay. Okay. Got it. And it would be for newer models only itself, right? And so can we expect it to be like in the market in the next 2 or 3 years or something like that? Or you have no idea when the norms would be?

Management: As of now, no idea because it totally depend on the customers when they will adopt this kind of technology.

Moderator: The next question is from the line of Deep Chandarana from Equity Research analyst Individual

Investor.
Deep Chandarana: Am I audible?
Moderator: Hello Sir, can you hear me? Deep Sir?
Deep Chandarana: Am I audible?
Moderator: No Sir. You are not audible. Your voice is breaking up. Ill request you to fall in the queue again.
The next question is from the line of Anubhav Mukharjee from Prescient Capital.
Anubhav Mukherjee: Thank you for the follow up opportunity. Sir will it be possible to share our R&D expenses for the financial year '26, 25-26?
Management: Yes, this will be -- this is more than 2%, around 2%. So it will come in the full annual report. You will see it.
Anub

hav Mukherjee: Congrats on substantial spend on R&D, especially in the auto component sector. Can you give some color on like what are the key focus areas or KPIs for the R&D effort?
Management: See, there are a few benefits which are mostly being required to set up this kind of R&D. And we are always the first to adopt such kind of technology within our organization. So EMI/EMC, this is being required mainly for any kind of electronic component, which is being used in automotive industries or in any industries. And this will be reducing the overall development time and giving the quality product to the customer in first attempt and first go and first write. This is a major attempt which is being required.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Sahil Sanghvi for closing comments.
Sahil Sanghvi: I just want to thank the management for patiently answering the question. Please go ahead, sir, for the closing remarks.
J. K. Jain: I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you, and have a good evening.
Moderator: Thank you very much members. On behalf of Monarch Networth Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: There has been some disturbance in audio during the call. For sake of clarity, transcript has been corrected at some places, post receipt from Chorus Call.